



GAA Team

GLIF

GLOBAL LEADER IN FINANCE

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Introduction

The U.S. economy has entered a complex transition. As the post-pandemic era of excess liquidity comes to an end, energy shocks from the Iran conflict have become structurally entrenched, leaving markets at a critical inflection point in search of a new equilibrium. While growth momentum appears intact on the surface, conflicting signals are multiplying beneath, giving rise to an economic environment that defies conventional analytical frameworks.

The complexity of the current market can be summarized by four structural tensions. Labor markets present a split picture: healthcare continues to prop up headline figures, while federal workforce reductions, broad industry contraction, and involuntary part-time employment at an all-time high signal deep underlying deterioration. Inflation shows a disinflationary direction with core CPI at 2.8%, but service price stickiness and persistent energy pressures continue to constrain the Fed's policy space. Under the new Warsh regime, the possibility of rate hikes has entered the conversation.

Credit and liquidity conditions retain a solid foundation with MMF balances at \$7.77 trillion, yet structural stress in the Treasury market and weak demand continue to block transmission to the real economy. GDP growth is holding up against a hard landing, driven by AI and automation led productivity gains, but the shadows of entrenched fiscal deficits and K-shaped divergence continue to deepen.

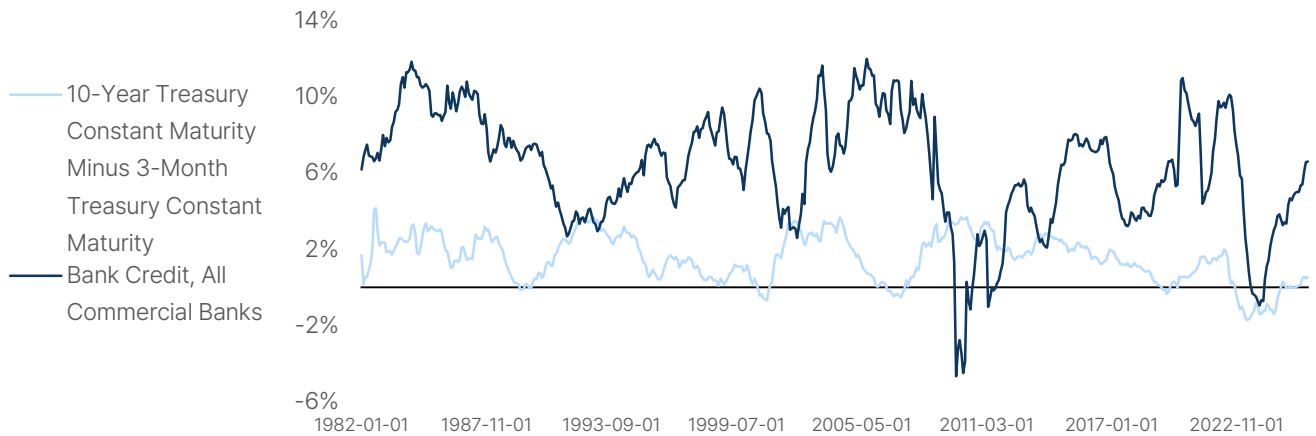
This report is structured around three core sections: Credit and Liquidity, Inflation and Employment, and GDP and Productivity, each examining the structural challenges facing the U.S. economy today. In a market where volatility has become the norm, analysis dependent on a single indicator is no longer sufficient. Through a macro framework that integrates financial flows, labor quality shifts, and structural productivity trends, this report aims to provide a balanced assessment of the challenges and opportunities facing the U.S. economy, and to outline a direction for sustainable investment strategy.

01 Credit and Liquidity

1.1.1. Credit Supply Environment: Yield Curve and Liquidity Restructuring

1.1.1.1 Term Spread and Loan Growth

Exhibit 1. Bank Credit Change (YoY)



Source: FRED, Federal Reserve Bank of St. Louis

Banks operate on a structural basis of borrowing short and lending long. Under this framework, when the term spread inverts, net interest margins come under pressure and credit supply contracts; when normalization occurs, lending conditions historically recover. Following the deepest and most prolonged inversion on record since 2022, the yield curve returned to positive territory in mid-2025, entering a normalization phase.

Yet this yield curve normalization has not translated directly into a recovery in loan growth. As of 2026, total commercial bank loans outstanding stand at approximately \$13.53 trillion, with growth rates remaining subdued. Commercial and Industrial (C&I) loans declined 5.6% in the first half of 2025 and have been slow to recover, reflecting a corporate environment that prioritizes cost reduction and cash preservation over investment expansion. Yield curve normalization may serve as a signal for a credit revival, but the actual trigger has yet to be pulled.

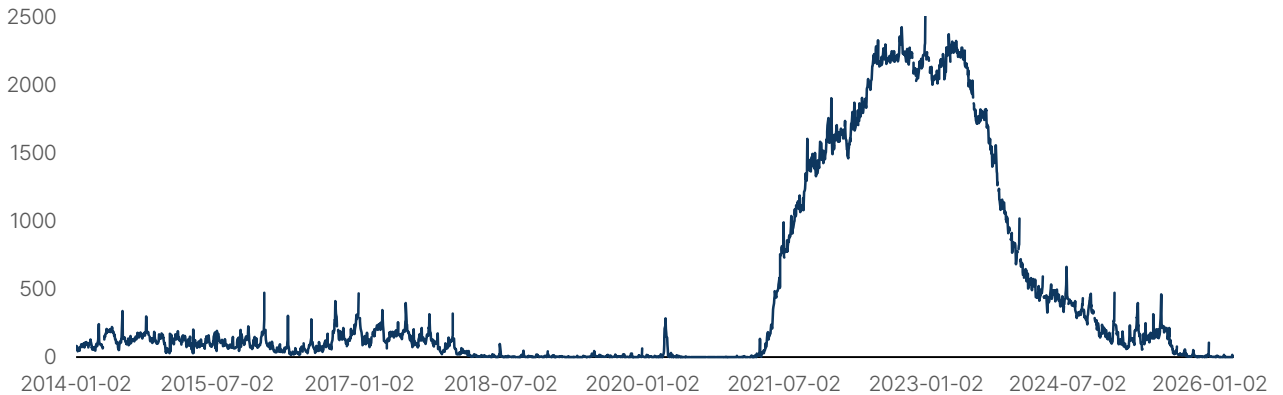
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1.1.1.2 Post-Excess Liquidity Markets: RRP, MMF, and M2

The Fed's overnight reverse repo (RRP) facility has historically served as a buffer to absorb excess liquidity from the financial system. RRP balances, which surpassed \$2.4 trillion during the pandemic era, have now been effectively drained. The disappearance of this buffer means that changes in Fed policy or fiscal conditions now transmit more directly and immediately to markets, creating an environment of heightened sensitivity to policy signals.

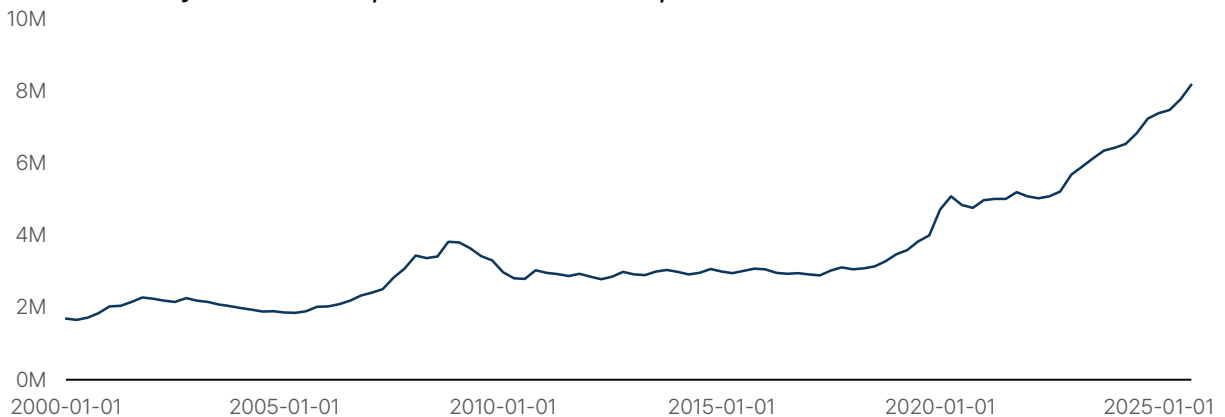
Exhibit 2. Fed Overnight Reverse Repo (ON RRP) Balance



Source: FRED, Federal Reserve Bank of St. Louis

By contrast, money market fund (MMF) assets stood at \$7.77 trillion as of May 20, 2026, near all-time highs. The funds that exited RRP have not disappeared; they have been reallocated into short-term instruments and MMFs offering higher, more stable yields — effectively locked in place as standby capital. For this substantial pool of waiting capital to rotate into risk assets, a clear push factor — namely, a decline in MMF yields driven by rate cuts — is essential. With the Fed maintaining a hold stance, this rotation remains constrained.

Exhibit 3. Money Market Funds; Total Financial Assets, Level



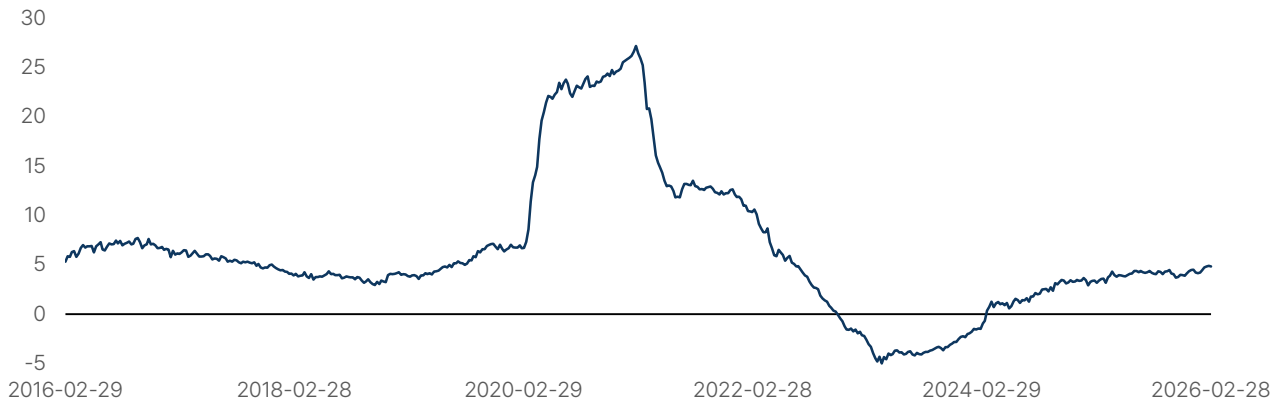
Source: FRED, Federal Reserve Bank of St. Louis

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M2 money supply continues to grow at a moderate pace, maintaining an adequate absolute level of liquidity in the system. However, given that this liquidity is slow to circulate into the real economy, the current situation is best characterized as a structural stagnation: liquidity is abundant but not flowing.

Exhibit 4. M2

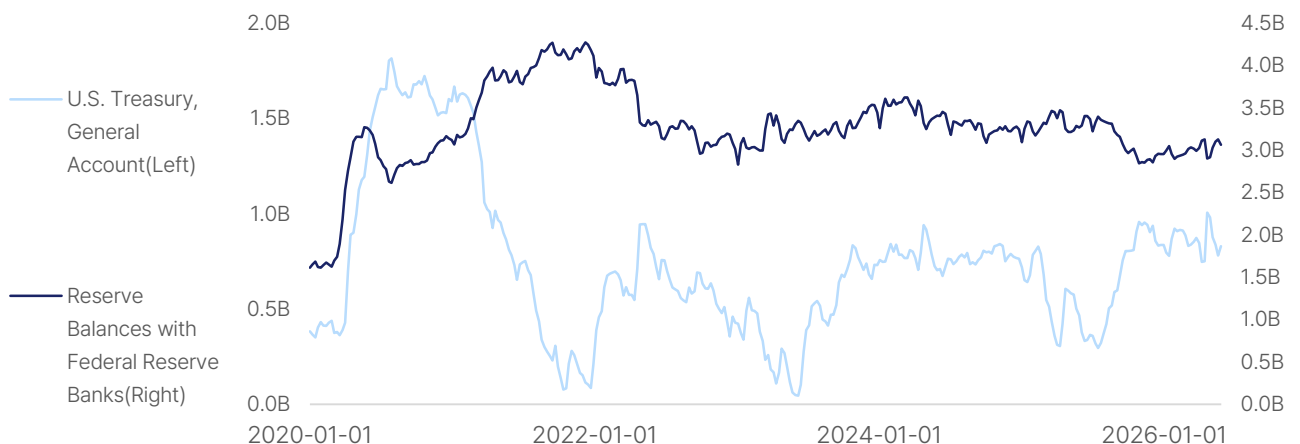


Source: FRED, Federal Reserve Bank of St. Louis

1.1.1.3 Hidden Liquidity Variable: TGA and Bank Reserves

It serves to quantify how policy rate changes and other events are transmitted to the broader financial environment.

Exhibit 5. TGA Balance & Bank Reserve Balance



Source: FRED, Federal Reserve Bank of St. Louis

The Treasury General Account (TGA) is the federal government's checking account held at the Fed. When the debt ceiling is binding, the Treasury cannot issue new securities and must draw down the TGA to fund government expenditures, releasing funds into the private banking system and boosting bank reserves. Conversely, when Congress raises the debt ceiling, the Treasury rapidly rebuilds the TGA through new bond issuance, draining reserves from the banking system in the process.

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Following the resolution of the debt ceiling standoff via OBBBA, the Treasury rebuilt the TGA aggressively — by nearly \$1 trillion — causing U.S. bank system reserves to decline by approximately 2%, rapidly tightening liquidity conditions in the short term. The debt ceiling has now been raised to \$41.1 trillion under OBBBA, with the next debt ceiling event projected for mid-to-late 2027.

As of May 13, the TGA balance stands at approximately \$807.4 billion. With RRP effectively exhausted, TGA shocks now pass through directly to bank reserves without any cushion. In the past, sufficient RRP balances could partially absorb TGA fluctuations; today, with RRP hovering near \$100 billion on a daily basis, TGA movements transmit immediately and fully to reserves.

Treasury bond issuance to rebuild the TGA effectively shrinks bank reserves without injecting liquidity into the private sector. If QT and TGA rebuilding proceed simultaneously, reserves could fall below the level that triggered the September 2019 repo market stress. The TGA has thus evolved beyond a simple government account into a pivotal variable that — in conjunction with the Fed's QT schedule and Treasury issuance calendar — determines the ebb and flow of systemic liquidity. Without tracking this reserve channel alongside RRP and MMF flows, a complete diagnosis of the current liquidity environment is impossible.

With RRP exhaustion now compounded by TGA rebuilding, systemic reserves face structural pressure — and Treasury market instability is intensifying this liquidity constraint further.

1.1.2 Treasury Market Volatility and Financial Conditions Reassessment

1.1.2.1 Structural Drivers of the Treasury Sell-off

Exhibit 6. Market Yield on U.S. Treasury Securities at 10-Years



Source: FRED, Federal Reserve Bank of St. Louis



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The most direct constraint on the current credit and liquidity environment is structural instability in the Treasury market. The bond sell-off that began following the April 2025 tariff shock has not been a temporary disruption; it persists into 2026, driven by the convergence of structural deterioration on both the demand and supply sides.

On the demand side, the traditionally stable anchor buyers of U.S. Treasuries are retreating. Foreign investors and the Fed, which once held roughly 50% and 25% of outstanding Treasuries respectively, have seen their shares decline to approximately 30% and 15%. The Fed's ongoing quantitative tightening (QT) has removed the largest structural buyer of long-duration bonds, while geopolitical risk stemming from the Iran conflict has further eroded foreign central bank appetite for U.S. assets.

Against this backdrop of structural demand erosion, the U.S.-Israel airstrike on Iran on February 28, 2026 acted as a direct catalyst for a further deterioration in the Treasury market. The 10-year yield, which stood at 3.97% just before the outbreak, surged to a peak of 4.44% within weeks. The key observation is the direction of this move. Conventionally, geopolitical crises drive capital into safe-haven assets like U.S. Treasuries, pushing yields lower. This time, yields rose sharply instead. Markets read the Iran conflict not as a catalyst for safe-haven demand, but as a signal of renewed inflationary pressure and mounting fiscal strain — a warning that the long-held equation of 'U.S. Treasuries = safe haven' may be developing cracks.

The Strait of Hormuz blockade disrupted approximately 38% of global seaborne oil shipments and 29% of LNG trade, translating the geopolitical shock into a concrete energy supply disruption. Brent crude surged 15% in the initial days of the conflict and subsequently crossed \$100 per barrel, while U.S. gasoline prices rose by more than \$1 per gallon within 3–4 weeks of the outbreak. This energy shock extended well beyond oil prices, transmitting into logistics and raw material costs and amplifying inflation re-acceleration concerns across the corporate cost structure. Market expectations for Fed rate cuts shifted from two cuts in 2026 to effectively zero, with CME FedWatch pricing in an 80% probability of a rate hike by December.

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01 Credit and Liquidity

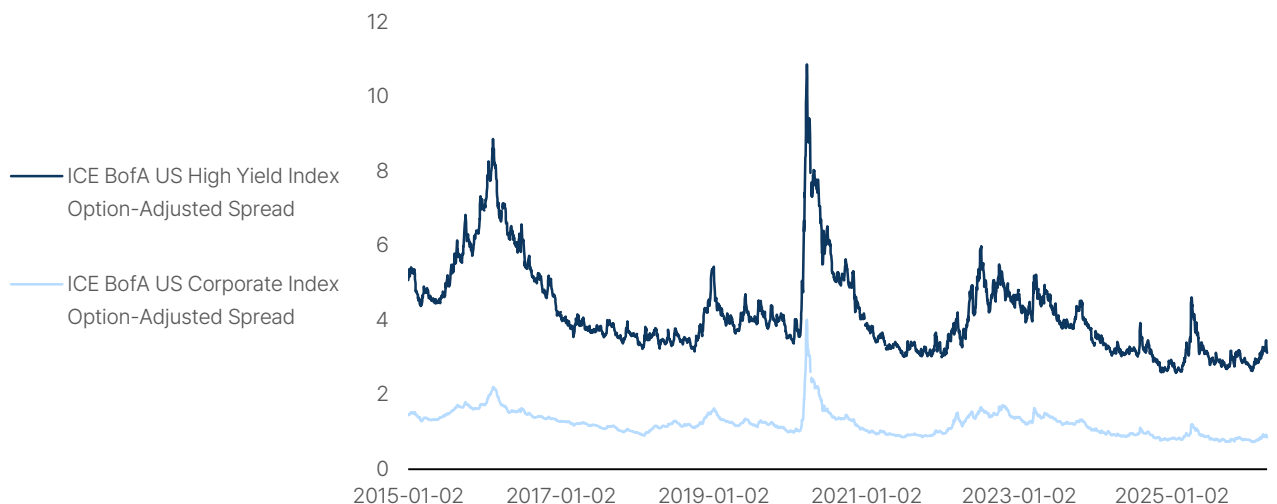
On the supply side, fiscal pressures continue to expand Treasury issuance. OBBBA is projected to add up to \$5 trillion in additional deficits over the next decade, representing a structural source of excess Treasury supply. The resulting imbalance — declining demand meeting rising supply — has materially weakened the floor under long-term yields. As of May 2026, the 10-year Treasury yield is trading near 4.5% with elevated volatility.

In sum, the Treasury market faces a paradoxical imbalance of shrinking demand and expanding supply. This is not simply a function of near-term rate expectations. It reflects a structural rise in the term premium — the additional compensation investors require to hold long-duration bonds — driven by the absence of stable buyers, entrenched inflation, and mounting uncertainty over fiscal sustainability. This Treasury market instability is expected to continue constraining the financial environment for the real economy by reinforcing tighter lending standards and suppressing liquidity supply.

1.1.2.2 Transmission to Credit Markets: FCI and Credit Spreads

Treasury market instability transmits rapidly into credit markets. Because Treasuries function as the risk-free rate benchmark for all financial asset pricing, surges in Treasury yields and widening volatility elevate corporate borrowing costs across the board, erode the collateral values of financial institutions, and impose direct constraints on leveraged strategies.

Exhibit 7. ICE BofA US High Yield & Corporate Index Option-Adjusted Spread



Source: FRED, Federal Reserve Bank of St. Louis

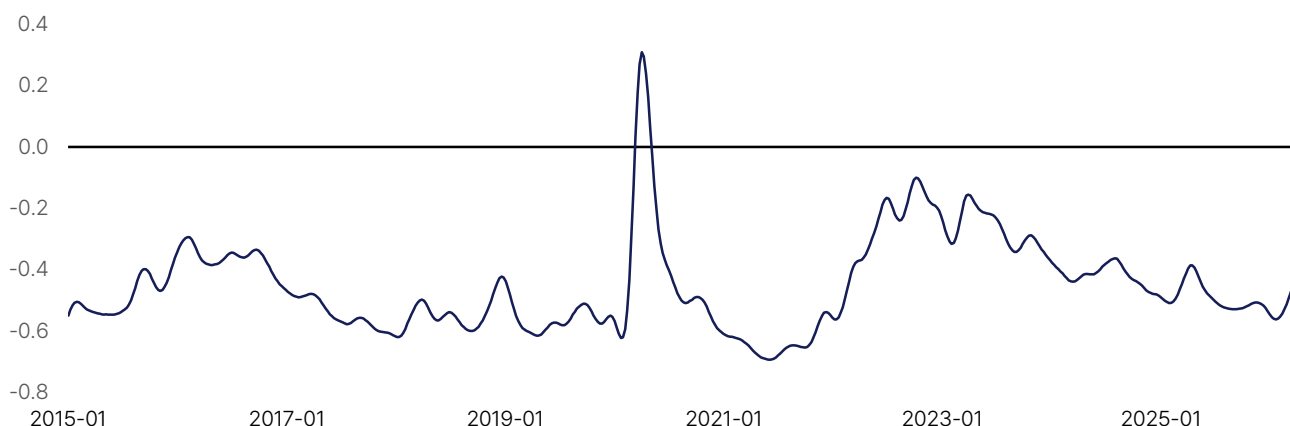
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Credit spreads have already experienced two significant shock waves over the past year. The first was the April 2025 tariff shock; the second — and still ongoing — is the U.S.-Iran war that erupted on February 28, 2026. Even before the war, leveraged credit markets had been experiencing volatility driven by AI sector uncertainty and cumulative geopolitical tensions. The Iran conflict was therefore not a bolt from the blue, but rather an additional shock applied to an already fragile credit environment.

During the April 2025 tariff shock, IG spreads surged to 120 bps and HY spreads to 461 bps, producing a sharp and rapid credit market freeze. Some stability returned after the tariff negotiation settlement, but spreads have again widened rapidly in the wake of the Iran war, as energy price spikes and inflation re-acceleration fears have combined to renew pressure. Critically, the current widening differs qualitatively from the April 2025 episode. The tariff shock had a clear resolution path through negotiations; the structural energy shock and inflation entrenchment from the current conflict are far less readily resolved, suggesting that this round of credit market pressure will prove more persistent.

Exhibit 8. Chicago Fed National Financial Conditions Index



Source: FRED, Federal Reserve Bank of St. Louis

The Financial Conditions Index (FCI — a composite measure of market tightness incorporating interest rates, equities, exchange rates, and credit spreads) remains in accommodative territory, but continues to oscillate without establishing a clear direction. This reflects a surface-level easing in financial conditions that coexists with ongoing Treasury market instability and widening credit spreads — implying that real credit tightening pressure has not been resolved. Markets remain in a state of deadlock, having yet to fully price in the combined impact of both shocks.

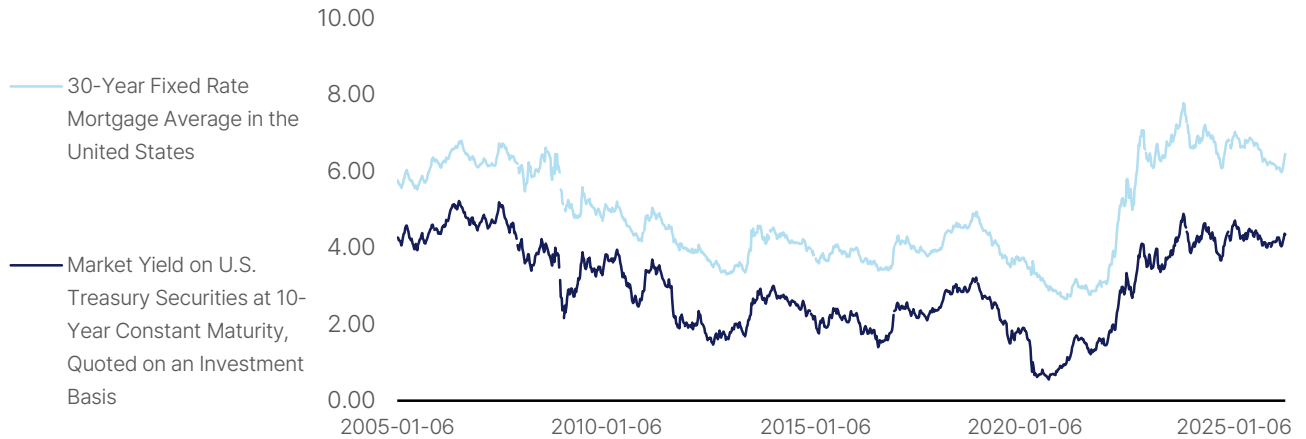
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1.1.2.3 Spillover to Household Credit: Mortgage Spread Analysis

The spillover from Treasury market instability does not stop at financial markets — it extends directly into household credit. The spread between the 30-year fixed mortgage rate and the 10-year Treasury yield currently stands at approximately 2.2%, exceeding the historical average range of 1.5%–2.0%. This indicates that housing finance markets are applying a significant risk premium attributable to Treasury volatility.

Exhibit 9. US Mortgage Spread



Source: FRED, Federal Reserve Bank of St. Louis

Spread widening translates into higher effective borrowing costs for households. Suppressed homebuying demand and the inability of existing homeowners to refinance at lower rates are applying downward pressure on overall consumer spending capacity. That said, construction loan delinquency rates remain the lowest across all loan categories, suggesting that the current spread widening has not yet triggered meaningful credit deterioration in the housing sector. Should rate volatility come under control and mortgage spreads normalize, meaningful capacity for leverage expansion in this segment would remain.

1.1.3 Bank Lending Capacity and Willingness

1.1.3.1 Tier 1 Capital Ratio

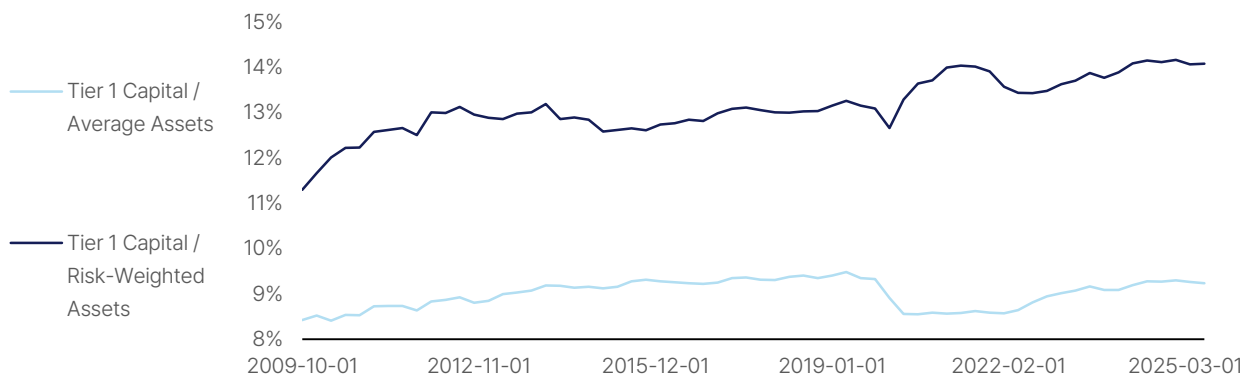
Bank capital adequacy remains robust. The Tier 1 capital ratio relative to risk-weighted assets (RWA) continues to exceed 14%, comfortably surpassing the international benchmark of 10%–12%. This confirms that the U.S. banking system retains adequate shock-absorption capacity and maintains sufficient capital headroom from a lending supply perspective.

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A notable regulatory development is also in progress. In March 2026, the Fed, OCC, and FDIC published a revised legislative proposal related to Basel III Endgame, generally oriented toward a modest relaxation of capital requirements for large banks. While the proposal remains in the public comment phase and final confirmation will take time, the directional bias of the regulatory framework is tilting toward expanded lending capacity. However, given that capital requirement relief has an effect similar to liquidity injection, this development may reduce the Fed's incentive to cut the policy rate — a dimension that must be factored into any comprehensive assessment.

Exhibit 10. Bank Capital Adequacy: Tier 1 Capital Ratio



Source: FRED, Federal Reserve Bank of St. Louis

1.1.3.2 Loan-to-Deposit Ratio (LDR)

The loan-to-deposit ratio (LDR) remains within the 60%–75% range. Compared to the levels seen during the dot-com bubble (exceeding 100%) and immediately before the 2008 financial crisis (approaching 99%), the current level demonstrates that meaningful lending capacity remains within the banking system. While TGA balance fluctuations and ongoing Fed QT are exerting upward pressure on the LDR by affecting deposit balances, absolute levels remain within a stable range. Absent further deterioration in the credit environment, this suggests that the foundational lending capacity of the banking system is being adequately preserved.

Exhibit 11. US Loan-to-Deposit Ratio



Source: FRED, Federal Reserve Bank of St. Louis

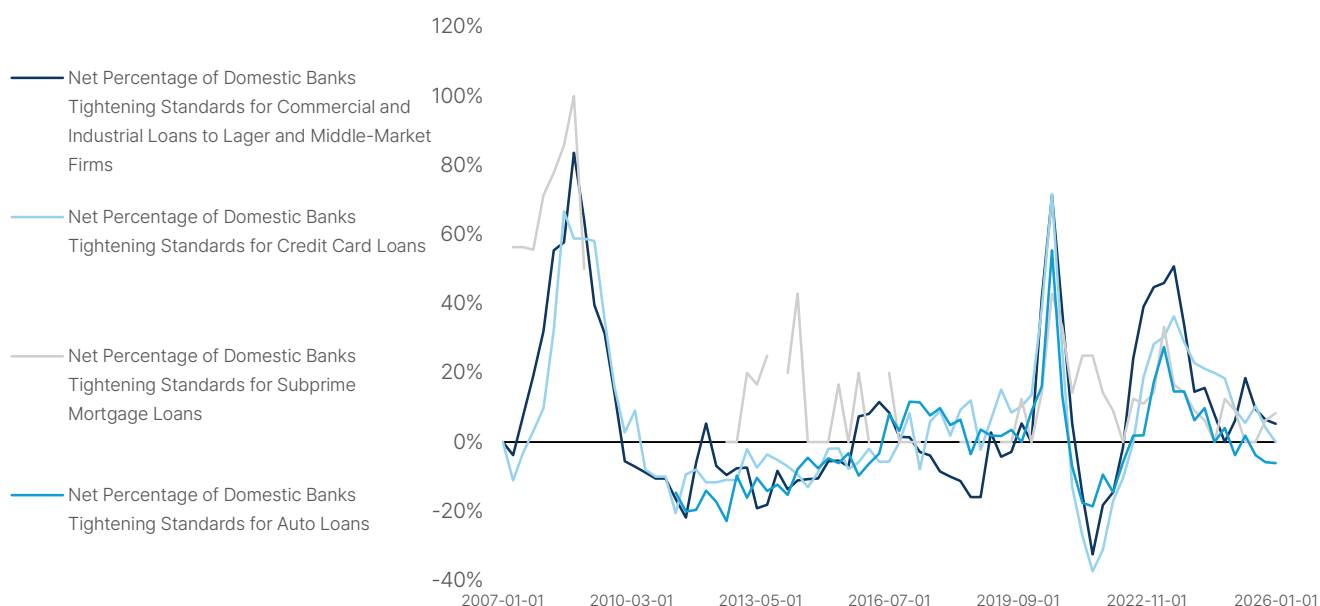
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1.1.3.3 Lending Standards

Lending standards have maintained an easing bias since the second half of 2024. Standards for credit cards, commercial and industrial loans, and subprime mortgages all remain significantly below the levels seen during the 2008 financial crisis, indicating that supply-side lending conditions are favorable. Notably, the subprime mortgage standard — which functions as a leading indicator of bank risk aversion — remains at a low level, suggesting that financial institutions retain a willingness to supply credit.

Exhibit 12. US Loan Tightening



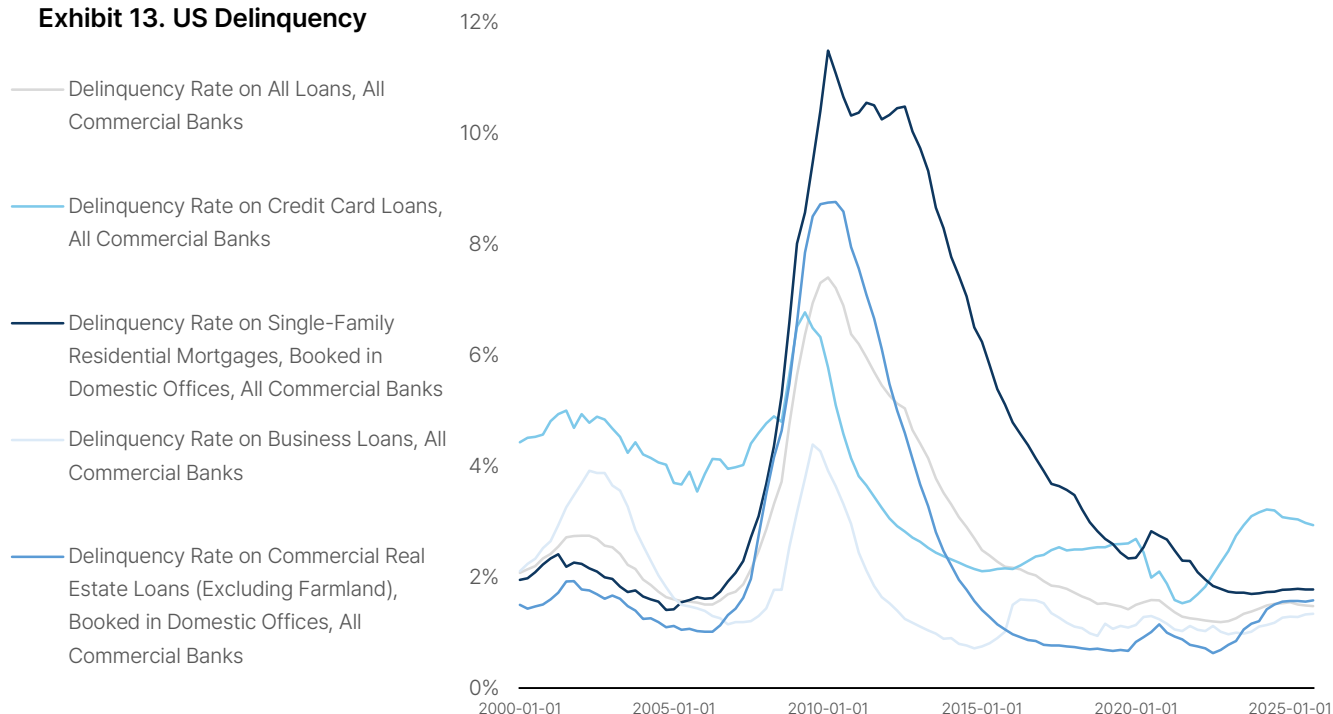
Source: FRED, Federal Reserve Bank of St. Louis

Nevertheless, despite these favorable supply-side conditions, actual loan growth continues to fall short of expectations due to demand-side weakness. Subdued corporate investment appetite and constrained household consumption are suppressing borrowing demand at its source. The ABA Credit Conditions Index registered 37.5 in Q1 2026 — its fifth consecutive quarter below the neutral threshold of 50 — providing direct evidence of this dynamic. Supply is open, but demand is not following: a structural deadlock.

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Credit and Liquidity**1.1.4 Borrower Health and Debt Servicing Capacity****1.1.4.1 Delinquency Rate Trends and Implications**

As of Q4 2025, 4.8% of total household debt is in delinquency. Divergence across segments is pronounced — with credit card, mortgage, and student loan serious delinquency transition rates all ticking modestly higher.

Exhibit 13. US Delinquency

Source: FRED, Federal Reserve Bank of St. Louis

Credit card delinquency rates are showing tentative signs of deceleration, though they remain modestly above historical averages. Consumer loan delinquency continues to trend gradually higher, reflecting the progressive erosion of real purchasing power among lower-income households in a sustained high-inflation environment. Commercial real estate (CRE) loans warrant particular attention, as rising office vacancy rates and elevated financing costs have combined to produce the fastest delinquency rate acceleration across all categories.

In contrast, construction loan delinquency remains the lowest across all categories, demonstrating stable debt service performance among builders. Overall, delinquency rates have not reached crisis levels, but multilayered upward pressure persists. This is the core reason why banks are maintaining their easing bias in lending standards while simultaneously exercising caution about actively expanding credit.

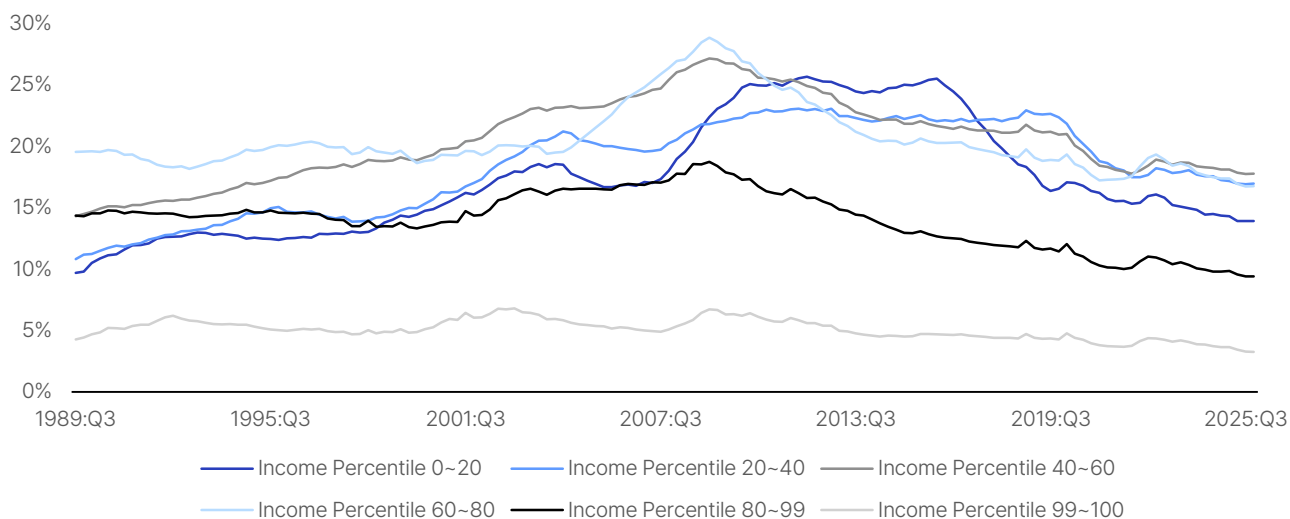
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As shown in the exhibit, current delinquency levels remain substantially below those observed during the 2008 financial crisis, when CRE delinquencies exceeded 11% and single-family mortgage delinquencies approached 9%. This historical context supports the view that the current uptick represents a normal cyclical adjustment rather than a crisis precursor. That said, the simultaneous rise in both CRE and credit card delinquency rates since 2024 warrants close attention — it may signal that cumulative credit stress is building across the broader economy, driven by the combined effects of prolonged high rates and the energy shock from the Iran conflict.

1.1.4.2 Debt-to-Asset Ratios by Income Percentile

Exhibit 14. Liabilities as Percentage of Assets



Source: FRED, Federal Reserve Bank of St. Louis

Data spanning from 1989 through Q4 2024 shows that debt-to-asset ratios across all income percentiles remain near historical lows. The deleveraging cycle that followed the 2008 subprime crisis continues to be effective, with high-income households' debt ratios declining steadily. This points to broadly sound household credit health and a solid fundamental underpinning for consumer spending.

However, low debt ratios do not automatically translate into adequate spending capacity. The concentration of mortgage delinquency deterioration in lower-income areas and regions experiencing home price declines reveals that fault lines are forming beneath the aggregate soundness. While the overall household balance sheet is healthy, the uneven distribution of that health warrants caution against excessive optimism regarding the sustainability of consumer spending momentum.



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1.1.5 Potential Risk Factors

1.1.5.1 Upward Pressure on Long-Term Rates from Fiscal Deficits and Rising Treasury Supply

The constraint that fiscal deterioration imposes on the credit environment is structural in nature. OBBBA is projected to generate up to \$5 trillion in additional deficits over the next decade, while the Congressional Budget Office forecasts a total deficit of \$1.8 trillion for fiscal year 2025. Combined with ongoing Fed QT, this dynamic is entrenching a structural imbalance in long-term Treasury supply and demand.

The most consequential aspect of this fiscal pressure is that it directly offsets the effectiveness of monetary policy. While Fed rate cuts lower short-term rates, excess Treasury supply from expanding deficits keeps long-term yields elevated. Since corporate and household borrowing costs are more commonly linked to long-term rates — through mortgages, corporate bonds, and capital expenditure financing — any shift to a more accommodative monetary policy stance will translate into real credit environment improvement more slowly than policy changes would suggest.

The term premium on 10-year Treasuries, as estimated by the ACM model, is now at a decade-high — reflecting not merely the level of rates, but a structural increase in the perceived risk of holding long-duration government bonds. Without fiscal consolidation, this pressure is unlikely to abate. Long-term rate entrenchment should therefore be viewed not as a near-term risk, but as a medium-to-long-term structural constraint.

1.1.5.2 Inflation Re-acceleration and Fed Policy Constraints

The Iran conflict has layered additional complexity onto an already constrained Fed policy space. Even before the war, inflationary pressures were building — supply chain costs were rising due to tariffs, and the core PCE inflation forecast had already been revised upward from 2.8% to 3.1%. The Strait of Hormuz blockade has now introduced a supply-side structural shock, shifting the nature of inflation from excess demand to a cost-push, supply-constrained dynamic. The reason this places the Fed in a particularly difficult position is that the Iran conflict carries the hallmarks of stagflationary risk.



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Rising energy prices simultaneously push inflation higher while suppressing growth through elevated corporate costs and reduced consumer spending capacity. In a world where prices are rising and growth is faltering, the Fed faces a dilemma: tightening to combat inflation risks deepening the economic slowdown, while easing to support growth risks entrenching inflation.

The Fed held the policy rate at 3.50%–3.75% at both its March and April 2026 FOMC meetings. Notably, the April meeting saw four of twelve voting members dissent — the most divided FOMC since 1992. Three of those dissenters objected not to the hold decision itself, but to the retention of easing bias language in the policy statement, signaling a structural hawkish shift within the committee. Kevin Warsh, who inherited this fractured FOMC upon taking office as the 17th Fed Chair on May 22, has publicly expressed a preference for rate cuts but faces a near-impossible near-term easing path given current inflationary conditions. Markets have effectively priced out rate cuts for 2026, with CME FedWatch placing an 80% probability on a rate hike by December. Warsh's first FOMC meeting as Chair, scheduled for June 16–17, will be the first opportunity to discern the policy direction of the new regime. The neutral rate estimate has also been revised upward to 3.125%, structurally foreclosing any return to the near-zero rate environment of the past. Ultimately, the Iran war has further narrowed the policy space for releasing the \$7.77 trillion in MMF standby capital into the real economy.

1.1.5.3 Private Credit Expansion and Structural Shifts in Traditional Bank Lending

The underlying reason why traditional bank lending has not recovered as anticipated is a structural transformation of the credit market itself. Private credit — direct lending by non-bank financial institutions such as private equity funds, hedge funds, and specialty lending funds — has expanded rapidly as banks retreated from middle-market lending in the high-rate environment that began in 2022. Global private credit markets now exceed \$2 trillion in assets under management, with projections pointing toward \$3.5 trillion by 2030.



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This structural shift creates a dual-edged interpretive challenge for credit environment assessment. On one hand, the statistical fallacy risk is real: weak bank loan growth does not necessarily indicate a broad contraction in credit supply. Private credit has filled a meaningful portion of the gap left by bank retrenchment, meaning that actual leverage creation capacity may be more active than headline statistics suggest.

On the other hand, the opacity of private credit in a downturn cycle is emerging as a significant new risk factor. Unlike traditional bank loans or public bond markets, where risk is rapidly visible through delinquency rates and spread movements, private credit impairment surfaces later and less transparently. According to a 2026 FTI Consulting survey, more than 77% of leveraged loan market participants expect loan defaults and restructurings to increase this year, while only 19% expressed strong confidence in current fraud risk management frameworks.

Private credit's expansion simultaneously implies an optimistic reading — that real credit supply may be healthier than traditional metrics suggest — and a pessimistic one: that risks are accumulating outside the regulatory perimeter, making the transmission path and magnitude of any credit cycle downturn harder to anticipate. As traditional bank metrics alone can no longer provide a complete picture of the credit environment, the only viable basis for real-time risk assessment in this uncertain equilibrium is enhanced monitoring of private credit market impairment velocity.



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1.1.6 Conclusion

A diagnosis of the current credit and liquidity environment reveals a widening gap between foundational strength and operational reality.

The foundations remain intact. A Tier 1 capital ratio exceeding 14%, a stable loan-to-deposit ratio of 60%–75%, easing lending standards, household debt ratios near historical lows across all income percentiles, and \$7.77 trillion in MMF standby capital collectively demonstrate that the material basis for additional leverage creation is in place.

Yet three layers of constraint are simultaneously suppressing the activation of that foundation. Long-term rate entrenchment from Treasury market instability, the Fed's narrowing policy space in the face of Iran war-driven inflation, and weak demand from both corporate and household borrowers are collectively neutralizing supply-side improvements. Compounding this, the post-OBBBA TGA rebuild and ongoing QT are creating a new structural source of reserve compression, while the June FOMC — the first under Chair Warsh — represents a pivotal inflection point for policy direction under the new regime.

Ultimately, the current credit and liquidity environment is best described as a structural deadlock: sufficient capacity exists, but the pathways through which that capacity flows to the real economy are blocked. Positive signals — yield curve normalization, sound bank fundamentals, low household leverage — stand in direct opposition to negative signals: Treasury market instability, inflationary pressure, and demand weakness. These opposing forces have locked markets in a consolidation phase. Breaking this deadlock will require an external catalyst: either greater clarity on the rate path, or a meaningful upturn in demand-side fundamentals. Until that signal is confirmed, the credit environment is likely to remain in its current state of fragile equilibrium.

02

Inflation and Employment

1.2.1 Employment

April's nonfarm payroll report added 115,000 jobs, well above the market's expectation of approximately 55,000, but reading this as a sign of recovery would be a mistake. Factoring in prior-month revisions, the three-month average falls to just 48,000 jobs per month — February alone was revised down to a loss of 156,000, and downward revisions have become a recurring pattern. The more fundamental problem lies in the divergence between two government surveys run simultaneously: the establishment survey showed 115,000 new jobs, while the household survey showed 226,000 fewer people employed. These measures moved in opposite directions. Employment isn't rising because hiring is picking up; it's holding steady because fewer people are looking for work.

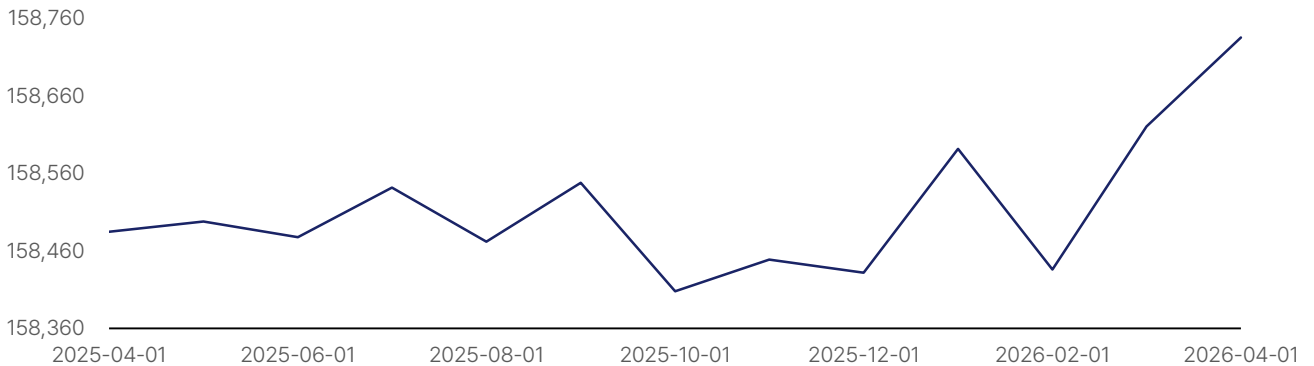
The labor force itself shrank by 92,000 in April, which is why the official unemployment rate held at 4.3% despite deteriorating conditions. Since November 2025, cumulative labor force contraction has reached approximately 1.5 million — an unusually rapid pace by peacetime standards, though the precise figure carries some uncertainty given methodological revisions across household survey vintages. The labor force participation rate fell to 61.8% and the employment-population ratio to 59.1%. As long as labor supply continues to shrink, official unemployment figures will keep looking stable even as the real job market weakens. This is compounded by rising underemployment: PTER surged by 445,000 in a single month to 4.94 million, the largest one-month jump in 14 months, and U-6 rose from 8.0% to 8.2%. An additional 358,000 people joined the short-term unemployed category, signaling that fresh job losses — not a backlog of long-term unemployment — are accelerating.

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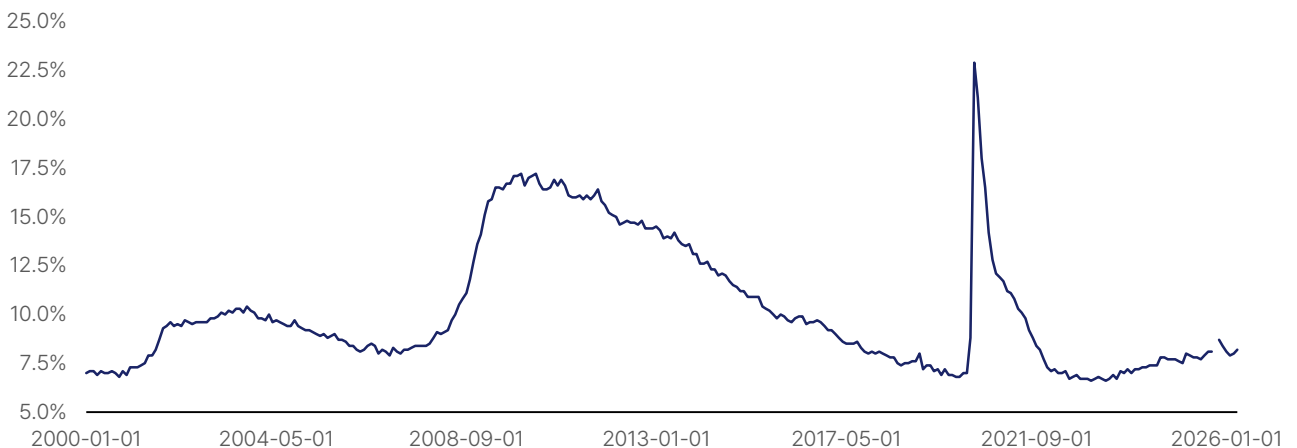
The composition of April's gains narrows the picture further. Growth was concentrated in healthcare, transportation and warehousing, retail, and social assistance — and even within transportation, couriers and messengers alone accounted for more jobs than the sector's entire net gain, meaning other parts of transportation lost ground. Information services, financials, federal government, and manufacturing all shed positions. The employment diffusion index fell from 56.8 to 53.8, reflecting a trend toward increasing concentration rather than broad-based growth. Federal employment has now declined by a cumulative 348,000 since October 2024, with second-order effects still transmitting through the economy. This chain reaction typically takes six to twelve months to appear in official statistics, and the early signs may already be visible in the broadening weakness across information services and professional and business services.

Exhibit 15. Total Nonfarm Employees



Source: FRED, Federal Reserve Bank of St. Louis

Exhibit 16. U-6 Unemployment Rate



Source: FRED, Federal Reserve Bank of St. Louis

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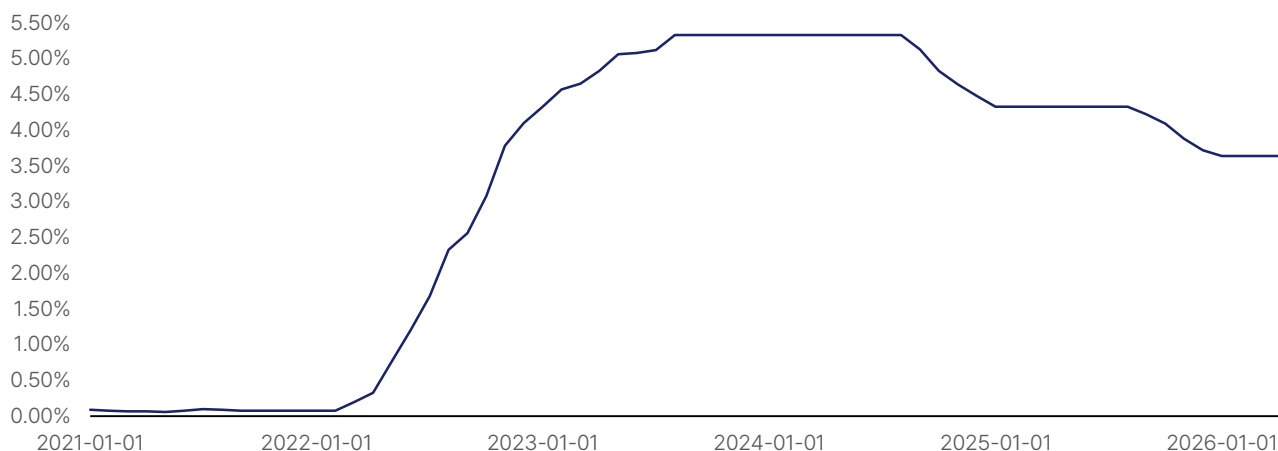
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Taken together, these dynamics leave the Federal Reserve in an uncomfortable position. The headline job number beat expectations, wage growth is still running at 3.6% year over year, and oil prices remain elevated — factors that make near-term rate cuts difficult to justify. At the same time, the household survey, rising U-6, the surge in part-time workers, and the shrinking labor force all point to real deterioration beneath the surface, making rate hikes equally hard to defend. The result is policy paralysis, with no clear mandate to move in either direction. Four numbers define the real state of April's labor market: a three-month average of just 48,000 jobs, a household survey showing 226,000 fewer employed people, the largest single-month surge in involuntary part-time work in over a year, and an unusually rapid peacetime contraction in labor force participation. The May jobs report, due June 5, will be critical — if the same pattern repeats, the narrative around U.S. labor market health will become increasingly difficult to defend.

1.2.2 Federal Reserve Policy

At its April 28–29 meeting, the FOMC held rates steady at 3.50%–3.75% for the fourth consecutive time. The outcome was expected; the dissent was not. Four members voted against the decision — the most at a single meeting since October 1992 — and from opposite directions. Governor Miran pushed for a 25bp cut, while three others accepted the hold but objected to the easing bias in the statement, signaling that hikes should remain on the table. It was Powell's final meeting as chair, and arguably his most hawkish.

Exhibit 17. Federal Funds Effective Rate



Source: FRED, Federal Reserve Bank of St. Louis



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The April minutes, released May 20, confirmed the shift runs deeper than the vote suggested. A majority of officials indicated rate increases would be warranted if the Iran war continues to drive inflation higher. The internal debate has moved from when to cut to whether hikes may be needed — a significant escalation from the "higher for longer" posture of recent months.

Powell stepped down on May 15, though he remains on the Board through early 2028. His successor, Kevin Warsh, is historically associated with inflation vigilance, though recent reporting suggests his current stance may be less hawkish than his track record implies. The June 16–17 meeting will be the first indication of how he shapes the committee's direction.

The structural backdrop supports elevated rates regardless of leadership. The neutral rate has been revised up to 3.125%, oil shocks and tariffs continue to lift inflation, and the recent easing of bank capital requirements injects liquidity in a manner akin to a rate cut — giving the Fed additional reason to hold firm. Loosening both levers at once risks overheating, a constraint the Committee appears well aware of.

1.2.3 CPI & PPI – Inflation

The Consumer Price Index rose 3.8% year over year in April, the highest reading since May 2023 and the second consecutive monthly acceleration following March's 3.3% reading. On a monthly basis, prices rose 0.6% — slightly slower than March's 0.9% jump but exactly in line with forecasts. The March report had flagged that energy price increases stemming from the U.S.-Iran conflict would begin showing up in the data, and that forecast proved accurate. Energy prices overall were up 17.9% year over year, with gasoline rising 28.4% and fuel oil surging 54.3%. The real-world consequence is a decline in purchasing power: after adjusting for inflation, average hourly wages fell 0.5% for the month and 0.3% year over year. Workers are earning more in dollar terms but losing ground in real terms.

Core CPI — which strips out food and energy — rose 0.4% in April, above the 0.3% forecast, and 2.8% year over year, remaining well above the Fed's 2% target. The main contributors were airfare (up 20.7% year over year), apparel (up 0.6% for the month), and household furnishings (up 0.7%). The airfare increase is particularly notable: higher jet fuel costs from the Iran conflict are being passed directly to consumers, representing geopolitical risk transmitting into services prices through the energy channel.

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This dynamic was identified as a risk in the March report; it has now materialized more broadly than anticipated, and it matters for the interpretation of core inflation discussed below.

Several major forecasting firms have interpreted April's 0.6% monthly shelter increase — up sharply from the roughly 0.2% pace seen in recent months — as a largely mechanical distortion. The BLS surveys rental prices on a rotating six-month cycle, and the October 2025 government shutdown disrupted data collection; when the affected households re-entered the rotation in April 2026, twelve months of price changes were compressed into a single reading. This artifact interpretation remains the consensus view, though it is contested: other analysts point to the primary rent and OER data as evidence of genuine re-firming rather than a one-time catch-up. The May CPI release will be the decisive test — reversion toward 0.2% confirms the artifact read; persistence near 0.5–0.6% warrants a structural reassessment.

Exhibit 18. CPI (YoY)

Date	Actual	Forecast	Previous
2025.09.11	2.90%	2.90%	2.70%
2025.08.12	2.70%	2.80%	2.70%
2025.07.15	2.70%	2.60%	2.40%
2025.06.11	2.40%	2.50%	2.30%
2025.05.13	2.30%	2.40%	2.40%

Exhibit 19. PPI (YoY)

Date	Actual	Forecast	Previous
2025.09.10	2.60%	3.30%	3.10%
2025.08.14	3.30%	2.50%	2.40%
2025.07.16	2.30%	2.50%	2.70%
2025.06.12	2.60%	2.60%	2.50%
2025.05.15	2.40%	2.50%	3.40%

Separating the structural drivers. Two distinct forces are driving current inflation, and the distinction matters for policy and for how long elevated readings are likely to persist.

The first is the Iran conflict energy shock. Disruption to supply routes through the Strait of Hormuz pushed up gasoline, heating fuel, and transport-dependent goods and services. This type of inflation is in principle reversible — if the conflict is resolved, supply chains could normalize within two to nine months. Critically, the energy shock is also transmitting into core inflation through services: airfare is the clearest example, but the mechanism applies more broadly to any service with significant energy input costs. This means headline and core inflation are not cleanly separable in the current episode.



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The second driver is tariff pass-through. Companies facing higher import costs have been transferring those costs to consumers — an effect visible in apparel, appliances, household goods, and transportation equipment. Unlike an energy shock, tariff-driven inflation does not automatically reverse: companies rarely lower prices once they have been raised, and the structural shift in import cost bases is unlikely to unwind without a change in trade policy.

The transitory versus structural question. Stripping out the shelter statistical artifact and the energy-channel contribution to airfare, the residual core inflation picture — genuine demand-driven price pressure — remains elevated but not dramatically so relative to recent months. This is consistent with a labor market that, beneath the headline, is weakening: involuntary part-time work is surging, real wages are falling, and the labor force is contracting. Demand-pull inflation in this environment should, in theory, be self-limiting. The more durable inflation risk comes from tariff pass-through, which is not demand-driven and does not ease as labor markets soften. On balance, the evidence suggests the current episode is primarily a supply-side and cost-push phenomenon rather than a demand overheating story — but the energy shock's persistence and the breadth of tariff pass-through mean "transitory" is too strong a conclusion. The most accurate framing is a supply-driven acceleration that is likely to plateau rather than quickly reverse, with headline CPI potentially reaching the 4% range before stabilizing, and core remaining sticky in the high 2% range.

The combination of rising inflation and a deteriorating labor market places the Fed in the position policymakers dread most. Raising rates risks tipping an already weakening economy into recession; cutting them risks allowing cost-push inflation to become entrenched. Neither tool works cleanly when both problems are present simultaneously, and April's data confirms that both problems have now arrived.



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1.2.5 Conclusion

All three pillars of the macroeconomic outlook — employment, monetary policy, and inflation — are tracking the downside scenarios outlined in the March report.

On employment, the headline April job number beat expectations, but the underlying picture continues to deteriorate. Involuntary part-time work is surging, the labor force is contracting at an historically unusual pace, and federal employment has declined by approximately 345,000 since January 2025, with second-round effects still transmitting through contractors and nonprofits. The April JOLTS release (June 2) reinforced the cautious read: job openings edged up to 7.6 million, but total hires fell to 5.1 million — employers are holding positions open without filling them. The May Employment Situation report released today is the critical near-term test.

On monetary policy, the debate has shifted from "when do we cut?" to "might we need to hike?" Kevin Warsh was confirmed in a 54–45 Senate vote — the closest Fed chair confirmation in the modern era — and faces his first FOMC meeting on June 16–17. Markets are pricing zero 2026 cuts as the dominant outcome (~68% probability), with a non-trivial hike probability priced for later in the year. How Warsh frames the rate path at his June 17 press conference will be the most consequential policy communication of the cycle so far.

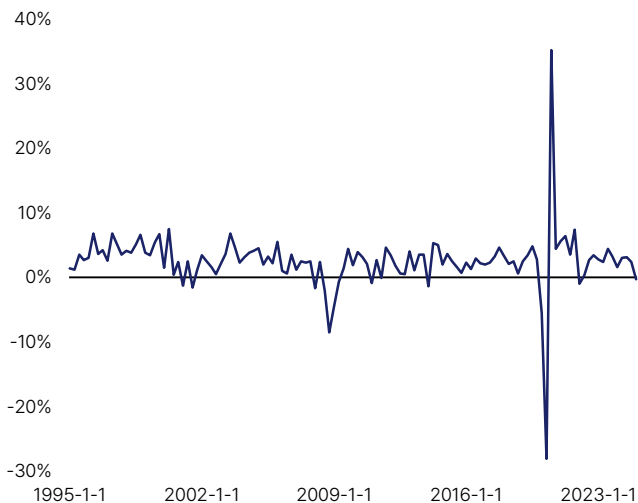
On inflation, the two-month CPI acceleration from 2.5% to 3.8% reflects genuine price pressure from both the Iran conflict and tariff pass-through. The May 28 PCE release confirmed this: headline PCE reached 3.77% and core PCE 3.29% — both well above the Fed's 2% target. May CPI on June 10 is the final significant data point before the FOMC. If core remains elevated as the shelter distortion fades, the case for rate hikes becomes harder to dismiss; if it cools materially, the April acceleration reads as partially mechanical. The sequencing of May NFP today, May CPI on June 10, and FOMC on June 16–17 makes this the most data-intensive two-week stretch of the year.

03

Productivity and GDP Growth

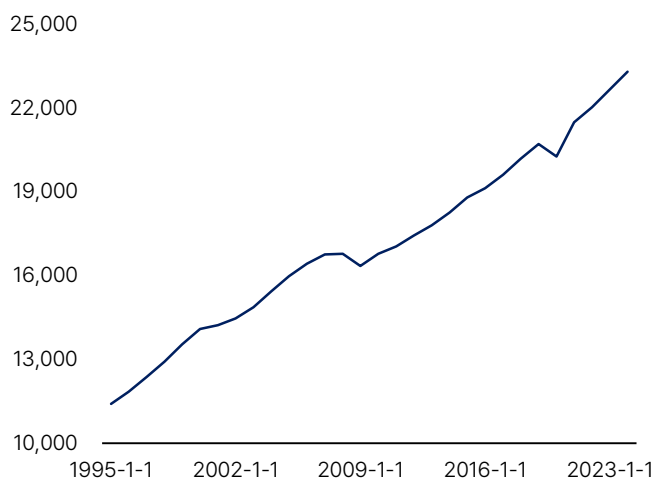
1.3.1. Diagnosing the U.S. Economic Trajectory

Exhibit 20. Real GDP Growth (QoQ, SAAR)



Source: FRED, Federal Reserve Bank of St. Louis

Exhibit 21. Real GDP Level (Seasonally Adjusted)



Source: FRED, Federal Reserve Bank of St. Louis

Real GDP grew at an annualized rate of 1.6% in Q1 2026, rebounding from 0.5% in Q4 2025. While the long-term trajectory remains broadly in line with potential growth, quarterly volatility has visibly increased, reflecting the shifting composition of growth drivers examined in this section. The U.S. economy in the first half of 2026 has demonstrated strong resilience, maintaining real GDP growth near its potential rate despite unprecedented headwinds from elevated interest rates and mounting fiscal deficits. Yet beneath this surface-level robustness, a fundamental generational shift is underway in the forces driving growth.

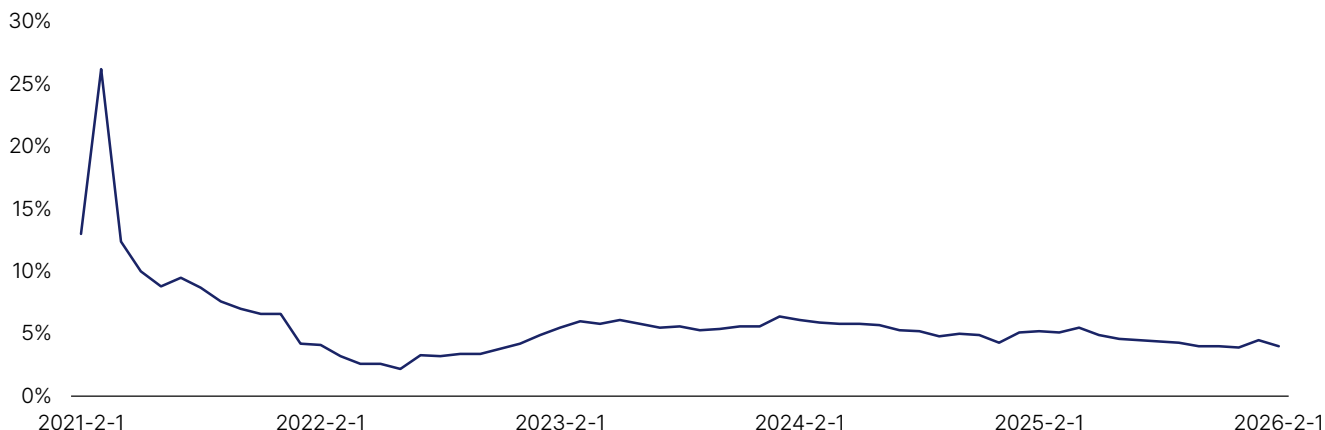
The twin pillars that sustained U.S. growth over the past decade — consumer spending underpinned by low interest rates and expanding labor inputs — are increasingly reaching their limits as household savings are depleted and credit risks rise. That the economy has nonetheless avoided a hard landing suggests that a paradigm shift is occurring, one in which supply-side efficiency gains are offsetting the deceleration on the demand side. This section draws on detailed demand and labor market indicators to assess the true growth trajectory of the U.S. economy and to derive a macroeconomic outlook for the second half of 2026 and beyond.

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Productivity and
GDP Growth**1.3.1.1. Real GDP Growth and the Limits of Demand**

The U.S. economy in Q1 2026 has reached an inflection point where the qualitative composition of growth is shifting, even as headline GDP figures remain respectable. The excess savings accumulated during the pandemic — which had supported private consumption for the past three years — were effectively exhausted by the second half of 2025, and persistent high interest rates have placed visible pressure on household disposable income. Retail sales growth has decelerated on a year-over-year basis, signaling that the demand-driven momentum that once powered the expansion is fading.

The deceleration in retail sales goes beyond a simple pullback in consumer sentiment. It signals that the resilience of the household sector, which has long been the backbone of the U.S. economy, has reached its limits. This could ultimately manifest as a structural flaw in the engine of economic growth, and the specific financial vulnerability of households is made plainly evident through the trajectory of personal savings.

Exhibit 22. Personal Saving Rate

Source: FRED, Federal Reserve Bank of St. Louis

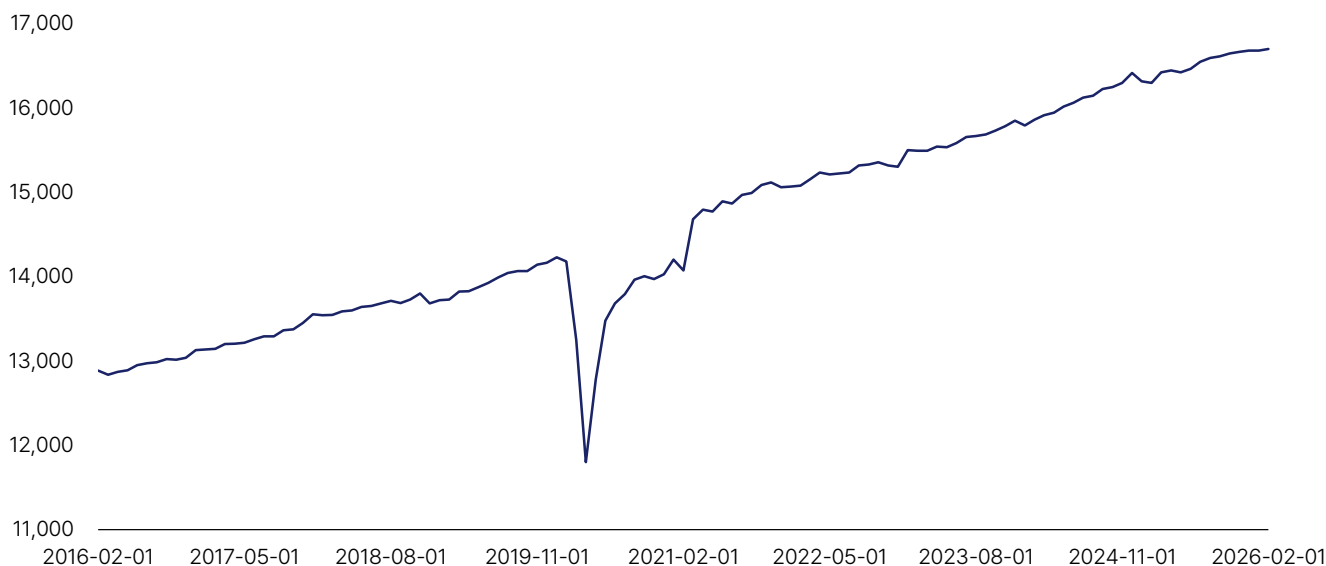
The primary cause of this consumption slowdown is the complete drawdown of excess savings built up during the pandemic. As shown in Graph (22), the U.S. personal saving rate fell to 3.6% in Q1 2026, its lowest level since 2022. This suggests that the massive buffer of excess savings — formed during the pandemic through large-scale fiscal transfers and suppressed spending — has effectively vanished since the second half of 2025.

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Unlike past episodes where a declining saving rate reflected consumer confidence and wealth effects, the current decline is better characterized as forced drawdown: households are dipping into savings simply to sustain spending in the face of elevated prices. As household liquidity runs dry, the U.S. economy is increasingly exposed to a structural vulnerability in which even modest external shocks or labor market disruptions could trigger a sharp pullback in consumption.

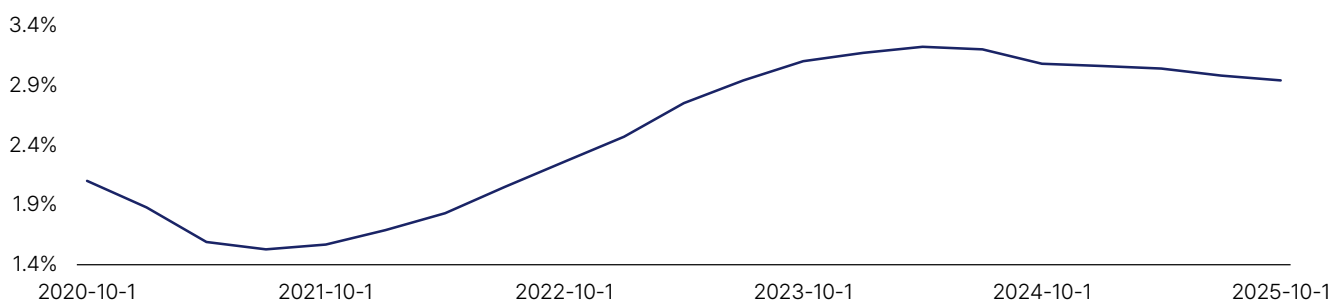
Exhibit 23. Real Personal Consumption Expenditures



Source: FRED, Federal Reserve Bank of St. Louis

With the savings buffer gone, the momentum of real consumer spending has visibly begun to soften. Graph (23) shows real personal consumption expenditures maintaining a gentle upward slope on the surface, but a closer look reveals that the steeper growth trajectory of prior years has measurably flattened — a phase of momentum deceleration. The stagnation in real, inflation-adjusted spending indicates that households are nominally spending more while actually purchasing fewer goods and services — a pattern of cost-pressured consumption. This represents a qualitative deterioration in spending, and the shift away from interest-rate-sensitive durable goods (automobiles, appliances) toward non-discretionary services signals that households' elective spending capacity has reached its limits. Consequently, consumption is no longer a primary engine of GDP growth, but rather a floor providing downside support to maintain current levels.

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Source: FRED, Federal Reserve Bank of St. Louis

What is striking, however, is that despite the compression in spending capacity, consumption indicators have not collapsed outright. The shadow behind this resilience, as Graph (24) reveals, is a troubling rise in debt. Delinquency rates on commercial bank credit card loans have surged sharply over the past two years, surpassing pre-pandemic levels. This indicates that households are bridging the gap between falling disposable income and sustained spending by drawing on high-interest revolving credit. The deterioration of the credit cycle, particularly among lower-income households, is a warning that household debt risk is approaching a critical threshold. As the high-rate environment persists, the burden of interest servicing continues to compound — a precursor to potential increases in personal bankruptcy filings and broader deterioration in financial sector credit quality. Growth financed by debt is ultimately unsustainable, and this dynamic foreshadows an inevitable transition in the engine of GDP expansion.

1.3.1.2. Decoupling of Employment and Growth

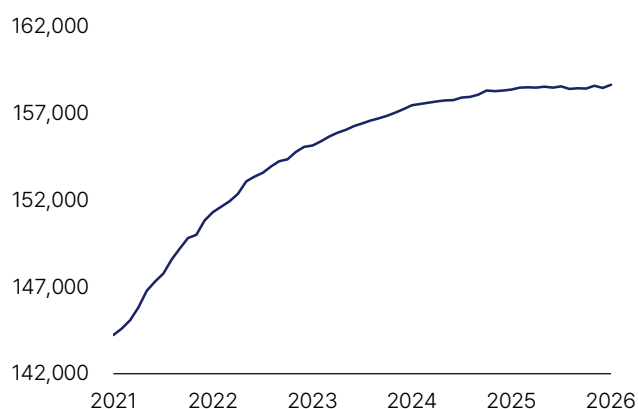
Despite the cracks in the consumption engine, the U.S. economy has managed to stay on a soft-landing trajectory, owing to a growing decoupling between labor market conditions and economic output. Traditional economic models would predict that a weakening labor market directly translates into falling incomes and GDP contraction. Yet the U.S. economy in 2026 is presenting a new growth equation — one in which declining labor inputs are being offset by technological innovation.

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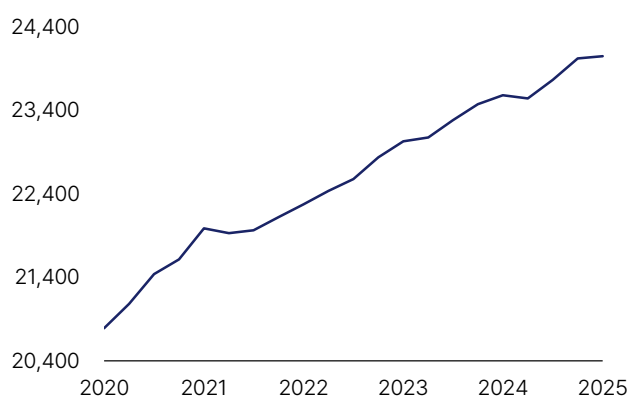
03
Productivity and
GDP Growth**Exhibit 25. Job Openings: Total Nonfarm**

Source: FRED, Federal Reserve Bank of St. Louis

As shown in Graph (25), job openings peaked in 2022 and have since declined sharply, reverting toward pre-pandemic levels. This reflects a broad shift by firms toward greater selectivity in hiring as they navigate high borrowing costs and softening demand. What makes this cycle distinctive, however, is that aggregate output has not declined even as the era of indiscriminate labor competition has given way to active cost discipline. Notably, the Q1 2026 U.S. Treasury TBAC report found that private firms are managing their workforce through attrition rather than new hiring, sustaining output through productivity gains — and that approximately half of GDP growth in the quarter was attributable to AI-driven investment.

Exhibit 26. All Employees, Total Nonfarm

Source: FRED, Federal Reserve Bank of St. Louis

Exhibit 27. Real Gross Domestic Product

Source: FRED, Federal Reserve Bank of St. Louis

Graph (26) shows the slope of total nonfarm payrolls flattening markedly over the past year, while Graph (27) shows real GDP continuing along a solid upward trajectory. This "jobless growth" dynamic signals that the era of labor-input-driven expansion is drawing to a close. Firms are generating higher value without adding headcount, leveraging existing capital and technological efficiency to drive output.



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This decoupling is evidence that the fundamental structure of the U.S. economy has changed. The feared recession that was expected to follow a cooling labor market has been absorbed by productivity-driven innovation filling the void left by labor. This serves as a key piece of evidence for the "efficiency-driven stability" thesis explored in Section 3.1.3, and provides a strong foundation for the structural analysis of labor productivity that follows in Section 3.2.

1.3.1.3. Retrospective Validation of 2025 and the 2026 Trajectory

The most defining feature of the U.S. economy today is the shift in the axis of growth from demand to supply. The historically low saving rate and cooling labor market signals discussed earlier would traditionally be unambiguous indicators of economic contraction, yet GDP growth continues — an anomaly by conventional cyclical standards. This divergence between indicators points to a meaningful rise in output per unit of labor input: the era of growth sustained by expanding the workforce is fading, replaced by a structural shift in which unit productivity, driven by the combination of capital and technology, has become the new engine of the economy.

In sum, the path ahead in 2026 is less about the magnitude of growth and more about its sustainability. Even as the rate cut cycle progresses, fiscal deficits and Treasury issuance pressures will likely keep real borrowing costs at restrictive levels. Accordingly, the U.S. economy is expected to remain on a trajectory where productivity gains from capital deepening and technology diffusion, rather than consumption financed by debt, serve as the primary growth driver. Unpacking the specific mechanisms through which labor productivity is being structurally strengthened is the central task of the following Section 3.2.

1.3.2. Structural Shifts in Labor Productivity

The decisive factor offsetting the downward pressure from elevated interest rates and slowing household consumption is the structural rebound in labor productivity. Where past growth relied on expanding the labor force or simple debt accumulation, the growth of 2026 is grounded in a supply-side transformation in which technological innovation is directly lifting the efficiency of the real economy.

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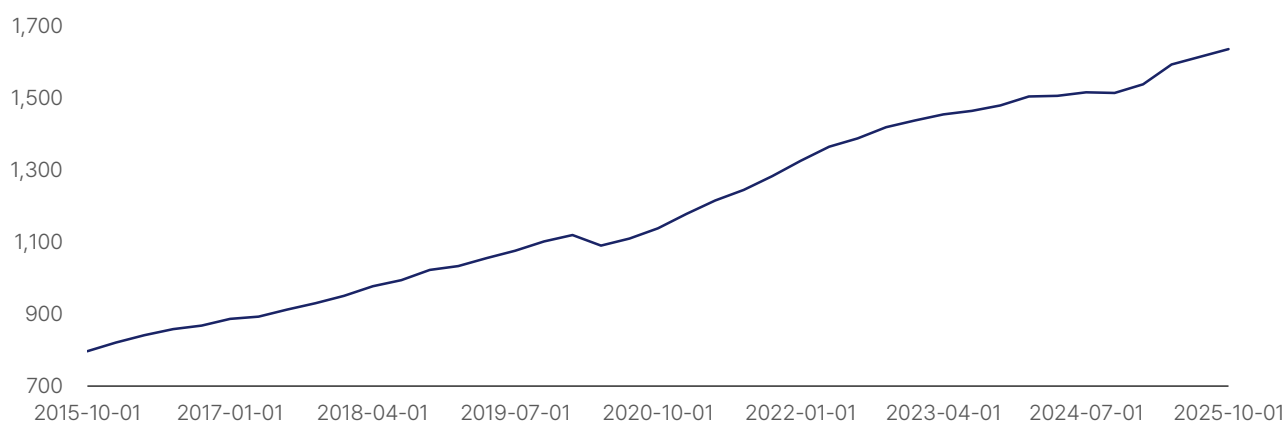
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As years of concentrated investment in AI and digital infrastructure begin translating into measurable productivity gains at the firm level, businesses have entered a phase of capital deepening — maximizing output value without additional labor inputs. This section examines the specific pathways through which these productivity gains are being realized, and analyzes how they are defending corporate margins and the nation's potential growth rate.

1.3.2.1. Capital Deepening and the Breakthrough in Productivity Indicators

The most powerful mechanism symbolizing the structural transformation of the U.S. economy is capital deepening. Despite the constraint of rising capital costs from elevated interest rates, U.S. firms in 2026 continue to aggressively invest in technology and intangible assets to offset the marginal cost of hiring. This is not merely a cyclical response, but a fundamental strategic shift on the supply side — one oriented toward maximizing per-unit efficiency rather than expanding labor inputs, in order to defend profitability.

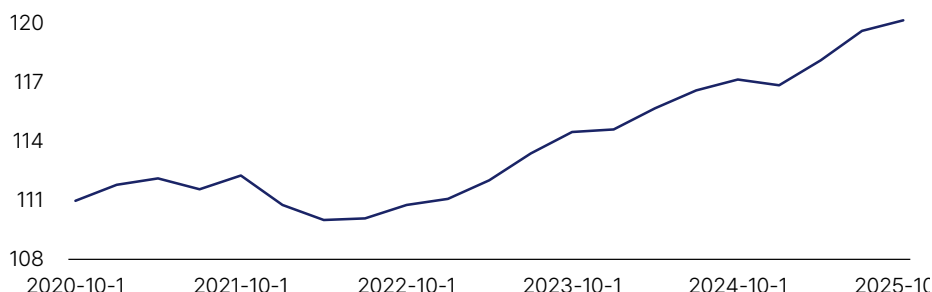
Exhibit 28. Nonresidential IP Investment



Source: FRED, Federal Reserve Bank of St. Louis

As Graph (28) illustrates, real private fixed investment in intellectual property products has traced a steep upward curve since 2024, driving the overall growth in fixed investment. Notably, while growth in traditional equipment investment has somewhat stalled under the weight of borrowing costs, investment in intangible assets — including software and R&D — has maintained a solid expansion. This reflects firms redirecting capital away from hardware toward areas that technologically augment existing labor: AI algorithm adoption, cloud computing enhancement, and data infrastructure development. The net effect of this capital deepening is an expansion in the stock of technological assets available per worker, serving as the core engine sustaining output even as the labor market cools.

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Source: FRED, Federal Reserve Bank of St. Louis

These capital inputs find their proof in a measurable breakthrough in labor productivity indicators. The labor productivity index climbed from its 2021 trough, staging a sharp recovery from the second half of 2023 to reach 119.6 (Index 2017=100) as of Q1 2026. This powerful productivity surge through the end of 2025 is the key piece of the puzzle explaining how U.S. GDP continued to rise even as the labor market cooled. It is numerical evidence that firms entered a phase of high-efficiency growth — maximizing output per hour through deeply embedded capital, without adding headcount.

Ultimately, the productivity gains being witnessed today are not a temporary rebound but the result of structural change grounded in capital deepening. As firms navigate the dual burden of rising labor costs and interest expenses through technological efficiency, the U.S. economy has reached a new equilibrium — one in which the compression of household consumption is offset by strengthened supply capacity at the firm level. This serves as a powerful foundation supporting corporate margins and the economy's potential growth rate amid broader macroeconomic uncertainty.

1.3.2.2. The Asymmetry of Technology Adoption and the K-Shaped Divergence Across Industries

The aggressive technology investment confirmed in Section 3.2.1 has lifted the overall resilience of the U.S. economy, but the benefits have not been distributed evenly across industries. A pronounced K-shaped divergence is taking hold, as the gap widens between sectors that have rapidly embraced AI and advanced technology and traditional industries that have not.



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03 Productivity and GDP Growth

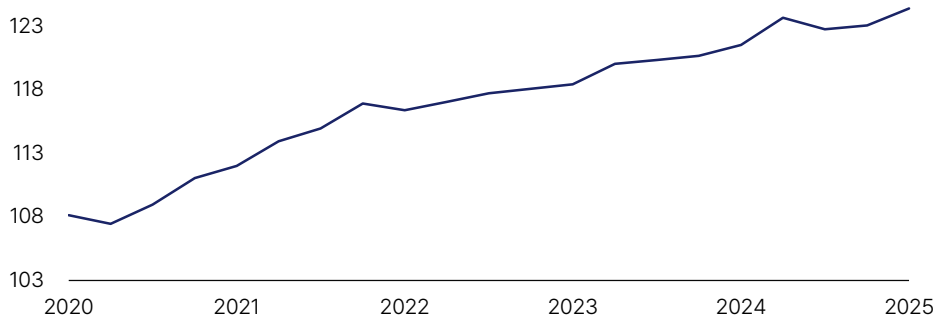
Like the shape of the letter "K," technology-rich advanced industries are racing upward while legacy manufacturing, unable to keep pace, is being pushed downward — a bifurcation that is becoming increasingly entrenched.

Leading technology firms, financial institutions, and advanced defense companies that have been early adopters of AI are maximizing profitability by leveraging technological efficiency to absorb rising labor costs. Traditional manufacturers, by contrast, face a very different reality. Unable to resolve the triple burden of tighter credit, rising input prices, and higher wages through technology, they are being forced into cost cuts and layoffs. The prolonged weakness in manufacturing activity indicators is compelling evidence that the crisis in legacy industries coexists beneath the surface of an otherwise strong economic picture.

These industry-level differences are also creating severe imbalances in the labor market. Even as headline unemployment figures appear stable, traditional manufacturing jobs are disappearing rapidly while labor shortages are concentrated in specific technical roles such as AI operations and data analysis. Given the difficulty skilled workers face in immediately transitioning from the factory floor to roles in advanced industries, this skills mismatch carries a significant risk of deepening social tensions and income inequality going forward.

Ultimately, the productivity revolution unfolding in the U.S. economy in 2026 is reinforcing the concentration of gains among a leading group of firms that have secured a head start in technology capital. Should traditional industries that cannot keep pace with the speed of technological change begin to collapse, the consequences would extend well beyond a crisis in specific sectors — they would become a significant structural obstacle to the sustainable growth of the U.S. economy as a whole.

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03
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Source: FRED, Federal Reserve Bank of St. Louis

1.3.2.3. The Asymmetric Relationship Between Productivity and Costs, and the Outlook for Corporate Margins

The entrenched combination of elevated prices and high wages that the U.S. economy faces is the most direct threat to corporate profitability. As Graph (30) shows, the unit labor cost (ULC) index for the nonfarm business sector has traced a sustained upward curve since 2021, reflecting a substantial accumulation of cost pressure that firms must absorb.

Even within this long-term upward trend, a period had emerged in which productivity gains were effectively driving real cost burdens lower. Despite continued wage growth, productivity improvements were outpacing compensation increases, producing what can be described as a paradox of costs in which the actual labor cost of producing a unit of output was falling. This suggests that AI and automation investment has been successfully absorbing the downward pressure from rising wages through a productivity revolution.

This underlying efficiency serves as the foundation for firms to maintain margins without aggressive price increases, and at the macro level acts as a core driver supporting disinflation. That said, the concentration of these benefits within technology-leading sectors, deepening the gap across industries, remains a persistent limitation. The U.S. economy is currently defending its margins through the shield of productivity, but rests on an unstable equilibrium shaped by divergence across industries.

1.3.3. Potential Growth Rate and Risk Factors

The U.S. economy presents an optimistic outlook through its productivity revolution, but beneath the surface, the structural entrenchment of fiscal deficits and the risk of weakening private investment represent significant medium to long-term constraints.

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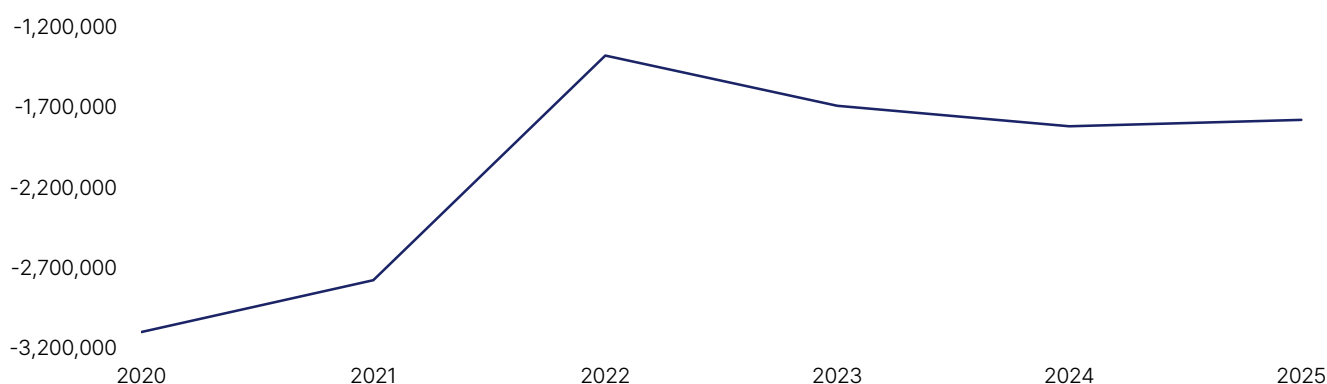
This section analyzes the downward rigidity in interest rates driven by large-scale Treasury issuance, diagnoses the crowding out effect through which government debt is displacing private innovation capital, and concludes by defining the new growth floor — a new normal — within which the U.S. economy is likely to settle given these constraints.

1.3.3.1. Fiscal Deficit Expansion, Interest Rate Pressure, and Downward Rigidity

Despite productivity gains easing inflationary pressure and providing the Fed with justification for rate cuts, the decline in market interest rates has fallen short of expectations. The core cause of this downward rigidity in market rates is the unchecked expansion of the federal fiscal deficit.

The entrenchment of fiscal deficits compels the government to issue Treasuries on a continuous basis, directly causing supply and demand imbalances in the bond market. As Treasury supply exceeds the market's absorption capacity, bond prices face downward pressure, which in turn becomes a powerful force keeping market interest rates elevated. In essence, the government's massive borrowing demand is absorbing liquidity from the financial system, forming a structural barrier against rate declines. The specific scale and severity of the fiscal deficit can be confirmed through the indicators that follow.

Exhibit 31. Federal Surplus or Deficit



Source: FRED, Federal Reserve Bank of St. Louis

As Graph (31) confirms, the expansionary fiscal stance that became entrenched after the pandemic has persisted through 2026, pushing the fiscal deficit to historically extreme levels. The continuous Treasury issuance required to finance deficits of this magnitude is a direct cause of supply-demand imbalances in the bond market.

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As Treasury supply exceeds the market's capacity to absorb it, bond prices face downward pressure — a powerful force keeping market interest rates elevated. In essence, the government's massive borrowing demand is absorbing liquidity from the financial system and forming a structural barrier against rate declines.

Exhibit 32. U.S. 10-Year Treasury Yield



Source: FRED, Federal Reserve Bank of St. Louis

The 10-year Treasury yield trajectory confirms this dynamic. Even as inflation indicators stabilize at lower levels, yields have maintained a firm footing around the 4% range — a phenomenon of entrenched high rates. This means that even when the Fed signals monetary easing through rate cuts, the support from market rates driven by Treasury supply imbalances offsets the transmission, blocking the downward pressure from reaching the real economy. As a result, the actual interest cost burden felt by households and businesses does not ease as quickly as policy rate cuts would suggest, representing a significant constraint on the effectiveness of monetary policy.

This persistence of elevated market rates driven by fiscal deficits carries a significant risk of eroding the productivity revolution discussed in Section 3.2 over the long run. Should market rates remain entrenched at high levels, firms will face a heavier cost burden when financing new equipment investment or next-generation AI infrastructure. This will ultimately suppress the capital inputs that underpin technological innovation, likely becoming a structural obstacle to sustained productivity improvement going forward.

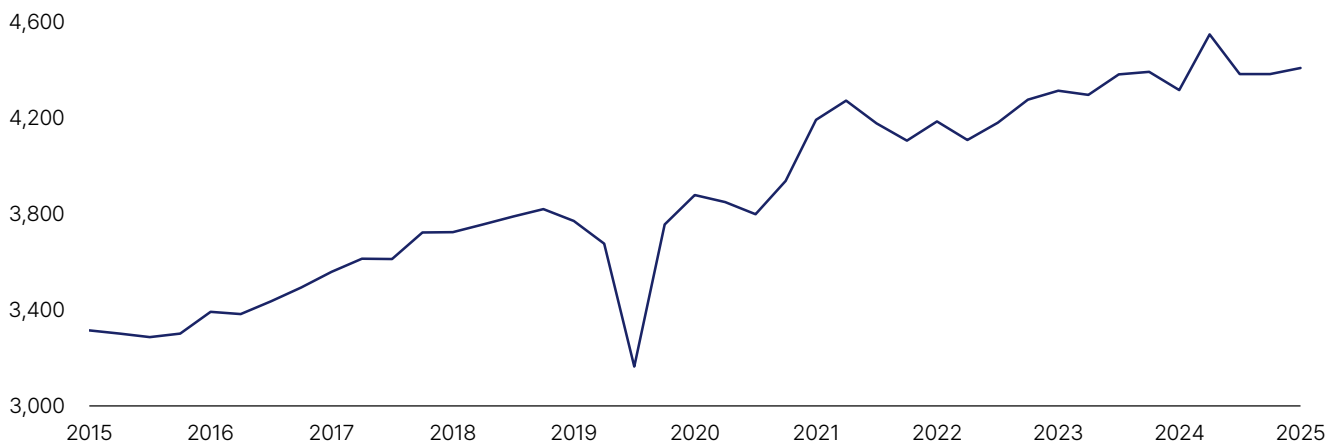
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1.3.3.2. Diagnosing the Risk of Private Investment Contraction

The government's expansionary fiscal stance is serving as a near-term buffer against economic weakness, but over the medium to long term it is generating a crowding out effect that undermines the dynamism of the private sector. By increasing Treasury issuance to finance massive fiscal deficits, the government is preempting capital in financial markets — raising the scarcity of investable resources available to private firms and pushing up real funding costs.

Exhibit 33. Real Gross Private Domestic Investment



Source: FRED, Federal Reserve Bank of St. Louis

As Graph (33) shows, real gross private domestic investment in the U.S. has broken from its previously stable upward trend, exhibiting sharp volatility and a pattern of stagnation. The inability of investment to grow in a straight line — instead tracing an erratic, back-and-forth path — reflects firms caught between a strong felt need to invest in AI infrastructure and other future-oriented assets, and the difficulty of making decisions under the uncertainty surrounding market rates driven by surging government debt.

In effect, an investment environment has taken shape in which firms expand spending when rates briefly stabilize, only to pull back immediately when Treasury oversupply pushes yields higher again. This pattern, identified in Section 3.2 as the core engine of the U.S. economy, is being undermined. The more the government absorbs liquidity through large-scale Treasury issuance, the more the flow of capital that should reach firms as risk assets is diverted. As the concentration of asset allocation toward Treasuries rather than innovative firms deepens, the capacity of the technology-capable private sector to build assets is inevitably compressed.



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03 Productivity and GDP Growth

This dynamic is sounding a serious alarm for the sustainability of the productivity. The fact that private investment volatility has expanded to this degree, even as productivity indicators remain solid, suggests the U.S. economy has entered a phase in which government-led growth is crowding out private innovation.

In conclusion, if the structural contradiction in which outsized public sector debt undermines private capital formation cannot be resolved, the productivity dividend we are currently witnessing carries a significant risk of proving temporary. The long-term growth potential of the U.S. economy will ultimately be determined by whether orderly management of government debt can restore the vitality of private investment.

1.3.3.3. Conclusion

The U.S. economy heading into the second half of 2026 is entering a new normal of high cost and high efficiency — a configuration that defies explanation through the frameworks of past economic crises or growth cycles. As examined throughout this report, the current economic structure sits in an unstable equilibrium, with a powerful growth engine driven by technological innovation pulling against structural constraints imposed by government debt.

The most critical pillar sustaining the U.S. economy remains, without question, the productivity revolution. As shown, firms have successfully absorbed rising cost pressures through aggressive investment in AI and automation, even amid the dual burden of elevated rates and wages. This goes beyond simple cost reduction — it is becoming the foundation of qualitative growth, in which technology capital substitutes for labor and lifts the potential growth rate itself. The paradox of costs, in which technological capability absorbs inflationary pressure from within, has been the core driver of this structure.

That the fruits of this growth are not being distributed evenly across industries, but rather concentrated in a handful of advanced sectors, is a development that demands vigilance. Behind the productivity dividend enjoyed by technology leaders lies a deepening shadow: the contraction of traditional industries unable to bridge the technology gap, and the industry-level polarization that follows.



Market View

03 Productivity and GDP Growth

Adding to this, the persistently high fiscal deficit remains a heavy burden obstructing the virtuous cycle of the economy. As the analysis has shown, massive borrowing demand is firmly supporting the floor of market interest rates and diluting the effectiveness of monetary policy. The resulting misallocation of capital raises volatility in private investment and blocks the channels through which innovation capital should flow. If the present contradiction — in which an outsized government-led growth model crowds out private dynamism — cannot be resolved, the current productivity gains carry a real risk of proving transitory.

Ultimately, the sustainability of the U.S. economy going forward depends on how long the spear of productivity can outpace the shield of debt. Should growth concentrated among technology-leading firms fail to diffuse into broader improvements across the economy, or should the vitality of private investment fall below a critical threshold under entrenched high rates, the economy risks sliding back into a low-growth trap. The key question ahead is therefore not simply how many times rates will be cut, but whether orderly management of the public sector's outsized debt burden can restore the conditions for innovation capital to flow freely back into the private sector. The U.S. economy in 2026 possesses a powerful engine in productivity, but carries the heavy load of fiscal deficits alongside it. Navigating the asymmetric tension between these two forces will be the defining factor in the success or failure of asset allocation and growth strategy going forward.

04 Asset Allocation Strategies

1.4.1 Resilient Productivity, Structural Headwinds

The credit and liquidity environment reveals a widening gap between its structural foundation and economic reality. While MMF balances stand at all-time highs and Tier 1 capital ratios exceed 14%, three compounding constraints continue to block transmission to the real economy: structural stress in the Treasury market, resurging inflation concerns, and persistent demand weakness. The Iran conflict has fractured the decades-long assumption of U.S. Treasuries as a safe haven, driving term premiums higher on a structural basis. The rapid growth of Private Credit is filling the void left by traditional bank lending, yet the opacity of risk accumulating outside regulatory oversight remains a latent detonator in any downturn cycle.

Employment and inflation are adding further complexity to this deadlock. Labor markets maintain surface-level stability driven by healthcare alone, but structural federal workforce reductions, contraction across major industries, and involuntary part-time employment hitting an all-time high collectively confirm underlying deterioration in labor quality. Core CPI at 2.8% keeps the disinflationary direction intact, yet service price stickiness continues to block the "last mile." Energy price pressures from the Iran conflict have become entrenched, with the Strait effectively remaining blocked even after the ceasefire. The Fed has held rates at 3.50~3.75%, and with the FOMC minutes flagging the possibility of rate hikes should inflation persist, "higher for longer" has been formally institutionalized.

Yet amid all these downside pressures, the core force keeping the U.S. economy from a hard landing is the productivity revolution. AI and automation investment is translating into real economy efficiency gains, pushing the labor productivity index to 119.6 (2017=100) as of Q1 2026, offsetting the dual burden of high rates and high wages.



Market View

04 Asset Allocation Strategies

That said, productivity gains remain concentrated in tech-forward industries, deepening K-shaped divergence across sectors, and should fiscal deficit entrenchment crowd out private innovation investment, the risk remains that this dynamic proves transitory.

1.4.2 Asset Allocation: Navigating Structural Uncertainty

In an environment where rate hikes have re-entered the conversation and fiscal risks remain elevated, asset allocation must move away from broad market exposure toward disciplined, selective positioning. We advocate a strategy built on four pillars: quality growth equities, rate-resilient fixed income, commodity hedges, and AI-driven structural plays.

In equities, the focus shifts to financial sector stocks that stand to benefit directly from a higher-for-longer rate environment, alongside high-grade corporates with robust cash flows and pricing power. As liquidity transmission to the real economy remains blocked, only companies with strong balance sheets and low leverage are positioned to weather the current credit deadlock.

On the fixed income side, we favor Floating Rate Notes over traditional fixed-rate bonds. As rates remain elevated and the possibility of further hikes persists, FRNs offer coupon income that rises with short-term rates, avoiding the duration risk that continues to weigh on long-term Treasuries.

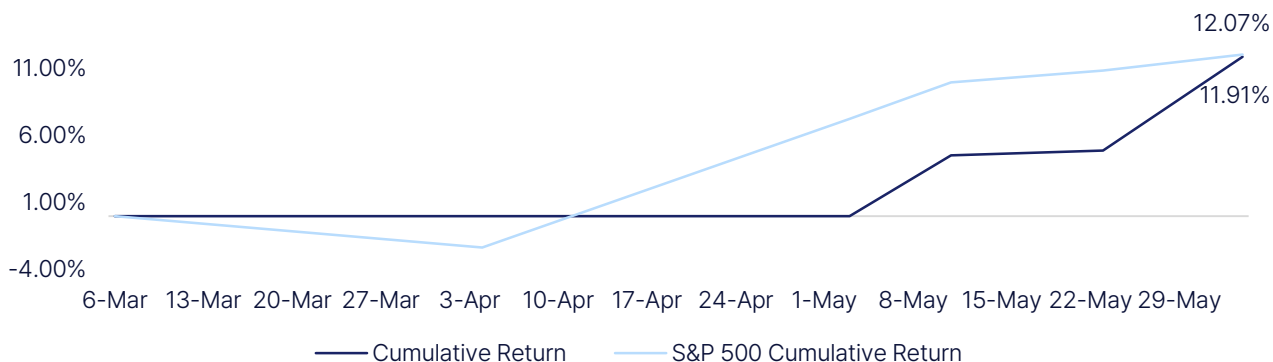
In commodities, gold and agricultural products serve as critical hedges. Gold provides shelter against both inflationary pressure and geopolitical uncertainty, while agricultural commodities reflect supply-side disruptions compounded by the ongoing energy shock. Both assets are well-positioned in a fiscally dominant, reflationary regime.

Finally, AI Capex remains a structural driver independent of the macro cycle. As our GDP and Productivity analysis confirms, AI and automation investment is translating into tangible efficiency gains across the real economy. Selective exposure to infrastructure and enablers of this productivity revolution offers asymmetric upside in an otherwise defensive portfolio.

Portfolio Overview

Portfolio Composition and Investment Rationale

Portfolio Performance



Ticker	Average Price	Current Price	Market Value	Rate of Return	Portfolio Weight
Stock					
MU	\$621.45	\$1,063.92	\$23,406	+71.2%	4.2%
MRVL	\$190.69	\$290.80	\$45,656	+52.5%	8.2%
005930.KS	\$158.27	\$236.30	\$62,147	+49.3%	11.1%
SNDK	\$1,326.76	\$1,716.82	\$34,336	+29.4%	6.1%
CSCO	\$115.53	\$128.01	\$55,300	+10.8%	9.9%
LLY	\$963.33	\$1,064.48	\$57,482	+10.5%	10.3%
KMI	\$32.34	\$31.43	\$24,358	-2.8%	4.3%
COST	\$1,050.45	\$953.81	\$44,829	-9.2%	8.0%
VRTX*	\$472.20	\$492.38	\$0	+4.3%	0.0%
HII*	\$425.26	\$413.70	\$0	-2.7%	0.0%
CRS*	\$429.41	\$408.93	\$0	-4.8%	0.0%
034020.KS*	\$86.54	\$70.19	\$0	-18.9%	0.0%
Hedging Oriented Assets					
TLT*	\$85.83	\$85.83	\$0	0.0%	0.0%
CPER	\$36.23	\$40.61	\$19,574	+12.1%	3.5%
USO	\$142.83	\$137.26	\$16,608	-3.9%	3.0%
SHV*	\$110.30	\$110.12	\$0	-0.2%	0.0%
Cash					
			\$175,878		31.4%

Top 5 Best Performers		Bottom 5 Worst Performers	
Ticker	Rate of Return (%)	Ticker	Rate of Return (%)
MU	+71.2%	034020.KS*	-18.9%
MRVL	+52.5%	COST	-9.2%
005930.KS	+49.3%	CRS*	-4.8%
SNDK	+29.4%	USO	-3.9%
CPER	+12.1%	KMI	-2.8%

* Fully exited — realized return; held names show unrealized return (Jun 3). Universe = all positions held during the period.

Portfolio Overview

Portfolio Composition and Investment Rationale

Portfolio Performance

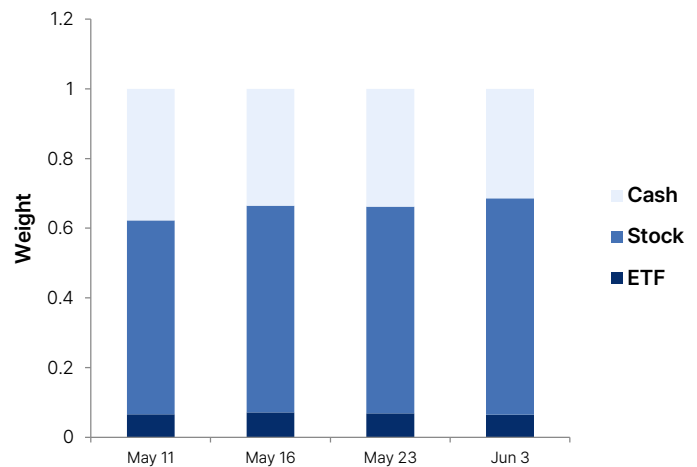
Trade Activity Summary

Date	Asset Sold	Assets Bought	Key Objective
Early Mar	—	SHV, Cash equivalents	Defensive risk-off (Iran war, oil spike)
May 4–5	SHV (\$190K)	MU, SNDK, 005930.KS, LLY, CR S, 034020.KS, KMI, CPER, USO	Regime-confirmed full redeployment
May 11–14	MU, SNDK, 005930.KS (trim)	CSCO	Harvest correlated winners; add lower-beta IT
May 18	CRS, 034020.KS, MU (reduce)	—	Rules-based stop-loss exits
May 21	—	MRVL, COST	AI networking + staples (WMT rejected)
Jun 3	Hold	Hold	Hold conviction (MU earnings, FOMC ahead)

Asset Type Mix by Step

Step	ETF	Stock	Cash
May 11	6.6%	55.6%	37.8%
May 16	7.1%	59.4%	33.5%
May 23	6.8%	59.4%	33.8%
Jun 3	6.5%	62.1%	31.4%

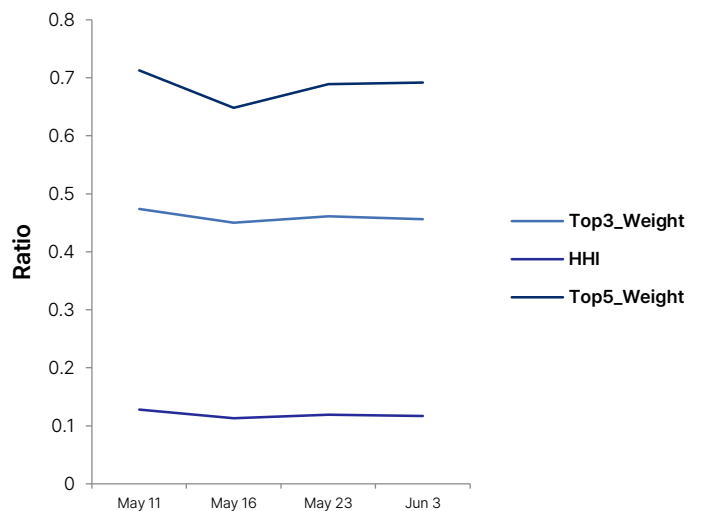
Asset Type Mix by Step (Cash-Inclusive Weights)



Concentration & Cash Weight

Step	Num_ Holdings	Top3_ Weight	Top5_ Weight	Top10_ Weight	HHI	Cash_ Weight
May 11	9	47.4%	71.3%	100%	0.128	37.8%
May 16	10	45.0%	64.8%	100%	0.113	33.5%
May 23	10	46.1%	68.9%	100%	0.119	33.8%
Jun 3	10	45.6%	69.2%	100%	0.117	31.4%

Concentration (HHI / Top5) & Cash Weight



Portfolio Overview

Portfolio Composition and Investment Rationale

Portfolio Performance

+11.91%

Total Return (+\$59,557)

\$559,557

Total Account Value

−0.2 pp

vs. S&P 500 (+12.07%)

+\$60,799

Unrealized P&L

Benchmark Underperformance — Attribution

Phase 1 (Mar 6–May 3) · Defensive. Held SHV/cash through the Iran-war volatility spike (VIX ~28, payrolls −92k). The S&P still rose ~+9.5%, and the opportunity cost of that cash drag is the entire benchmark gap.

Phase 2 (May 4–Jun 3) · Fully deployed. After liquidating SHV the book outperformed (S&P +2.3%) on the AI-semiconductor rally – MU +71.2%, MRVL +52.5%, 005930.KS +49.3%.

Takeaway. The strategy defended the downside but surrendered the early recovery; a staged re-entry at the regime turn would have closed the gap.

Realized P&L

Net realized −\$1,242. Losses −\$8,752 (034020.KS −\$6,444, CRS −\$1,782, SHV −\$318, HII −\$208) were largely offset by gains +\$7,513 (MU +\$4,357, 005930.KS +\$1,609, SNDK +\$1,325, VRTX +\$222). The bulk of total return remains unrealized (+\$60,799), concentrated in the AI-semiconductor sleeve.

Reflections & Lessons

- **Risk-off opportunity cost.** SHV defended the drawdown, but the fast recovery argued for staged re-entry over a binary cash-to-equity switch.
- **Concentration's double edge.** AI-semi conviction paid off within a month, yet IT reached 57.6% of the book — single-theme risk.
- **Stop-loss discipline.** CRS (−10.7%) and 034020.KS (−22.7%) drawdowns breached stop-loss deadlines, forcing clean, rules-based exits at −4.8% / −18.9% realized.
- **Earnings-gated process.** Holding WMT after a weak print (−7.27%) and rotating into COST proved sound.

Forward Monitoring

- **MU earnings (Jun 24).** Tests the durability of the AI-memory rally.
- **FOMC (Jun 16–17).** First meeting under Chair Warsh; watch for tone shifts.
- **Iran ceasefire / stalemate.** Energy-cost pass-through (+\$450/household) to consumption.
- **IT concentration (57.6%).** Manage downside in a sector correction.
- **COST stop-loss.** Fundamentals firm; review if the price correction persists.

Sector Report.

Sector Rationale

Memory Industry

critical pillar of the AI ecosystem, providing the high-performance memory solutions required to power next-generation computing and data infrastructure.

Representative Companies	
Ticker	Current Price
KRX:005930 (Samsung)	₩362,500
KRX:000660 (SK Hynix)	₩2,324,000
MU	\$1079.57
SNDK	\$1,831.50

Memory as the Foundation of the AI Economy

The memory industry is becoming increasingly critical to the global technology ecosystem as artificial intelligence reshapes computing infrastructure. Unlike previous technology cycles driven primarily by smartphones and personal computers, the current cycle is being led by AI data centers, cloud computing platforms, and high-performance computing applications.

These workloads require significantly greater memory capacity, bandwidth, and efficiency, making memory one of the most essential components within modern computing systems. As AI adoption continues to expand across industries, memory demand is expected to grow at a pace that exceeds traditional semiconductor market growth, positioning the sector as a key beneficiary of the ongoing digital transformation.

More Favorable Industry Structure Than Previous Cycles

Historically, the memory industry was known for its extreme cyclicalities, driven by frequent periods of overinvestment and supply imbalances. However, the industry's structure has evolved significantly over the past decade. The market is now dominated by a small number of technologically advanced manufacturers with substantial barriers to entry, including enormous capital requirements, complex manufacturing processes, and long development cycles. In addition, management teams have demonstrated greater capital discipline, prioritizing profitability and shareholder returns over aggressive capacity expansion. These structural changes suggest that future memory cycles may be less volatile and more sustainable than those experienced in the past.

Sector Report.

Sector Rationale

Memory Industry

critical pillar of the AI ecosystem, providing the high-performance memory solutions required to power next-generation computing and data infrastructure.

Benefiting from Multiple Long-Term Growth Drivers

While AI remains the most visible growth catalyst, the investment case for memory extends beyond a single theme. The continued expansion of cloud infrastructure, increasing data generation, growth in edge computing, autonomous systems, and next-generation enterprise applications all contribute to rising memory intensity across the digital economy.

At the same time, technological advancements such as DDR5 and HBM are increasing the value content of memory products, allowing manufacturers to capture higher margins and improve profitability. As memory becomes increasingly integrated into the most important areas of technological innovation, the sector is positioned to benefit from multiple long-term secular growth trends rather than relying on a single source of demand.

Representative Companies	
Ticker	Current Price
KRX:005930 (Samsung)	₩362,500
KRX:000660 (SK Hynix)	₩2,324,000
MU	\$1079.57
SNDK	\$1,831.50

Micron (MU)

A global leader in advanced memory and storage solutions.

Sustained AI Infrastructure Investment Cycle

Despite increasing market volatility driven by interest rate uncertainty, geopolitical tensions, and concerns surrounding U.S.-China relations, the long-term AI infrastructure investment cycle remains firmly intact. Leading technology companies continue to invest aggressively in AI data centers, advanced computing systems, and next-generation server architectures in order to maintain their competitive positioning. As AI models become larger and more complex, memory has become one of the most critical components of AI infrastructure, driving significant growth in demand for both DRAM and HBM solutions. As a leading supplier of advanced memory products, Micron is strategically positioned to benefit from this structural shift. Our investment thesis is based on the belief that AI-related capital expenditure will remain a major secular growth driver, supporting long-term demand for Micron's products regardless of short-term market fluctuations.

Resilient Memory Infrastructure

While semiconductor stocks have experienced periods of heightened volatility, we believe the underlying fundamentals of the memory industry remain highly attractive. Unlike previous cycles characterized by aggressive capacity expansion and oversupply, memory manufacturers have adopted a more disciplined approach to capital spending and production growth. At the same time, demand from AI servers, hyperscale data centers, and high-performance computing applications continues to exceed expectations. The growing importance of HBM, in particular, has created a favorable supply-demand environment that supports stronger pricing and profitability.

We view recent weakness in memory-related equities as largely driven by macroeconomic concerns rather than any deterioration in industry fundamentals, making the sector's long-term outlook increasingly compelling.

Conviction Report.

Current Price (\$) 1079.57

Average Price (\$) 621.45

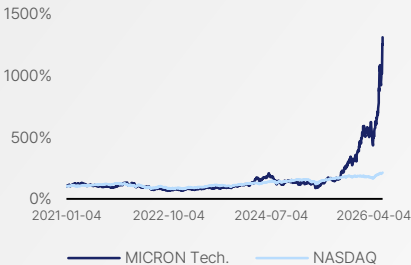
Portfolio Weight (%) 4.20

Rate of Return (%) 73.72

► KEY VALUATIONS

P/E	10.82
EV/EBITDA	33.28
OPM (%)	68
PEG	0.37

► STOCK PRICE



Conviction Report.

Micron (MU)

A global leader in advanced memory and storage solutions.

Current Price (\$)	1079.57
Average Price (\$)	621.45
Portfolio Weight (%)	4.20
Rate of Return (%)	73.72

Future Prospects and Risk Factors

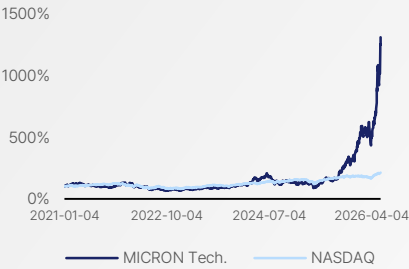
Given the current macroeconomic backdrop, uncertainty surrounding monetary policy is likely to persist and continue weighing on investor sentiment. However, we believe much of this uncertainty has already been reflected in Micron's valuation through previous market corrections. Importantly, the company's long-term growth drivers remain unchanged. AI infrastructure spending continues to accelerate, memory demand remains strong, and industry conditions are improving.

As a result, the disconnect between short-term market concerns and long-term business fundamentals has created an attractive risk-reward profile. We believe the recent pullback provides an opportunity to gain exposure to a high-quality AI beneficiary at a more reasonable valuation, with substantial upside potential as the memory cycle continues to strengthen.

► KEY VALUATIONS

P/E	10.82
EV/EBITDA	33.28
OPM (%)	68
PEG	0.37

► STOCK PRICE



Conviction Report.

Portfolio Composition and Investment Rationale - Equity

Marvell Technology (MRVL)

A data infrastructure semiconductor company powering the connectivity backbone of AI

Current Price (\$) 301.65

Average Price (\$) 190.69

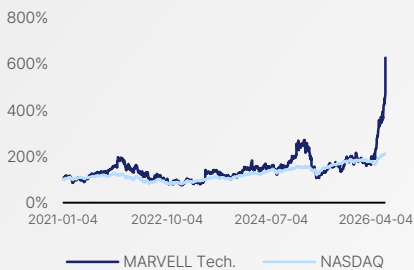
Portfolio Weight (%) 8.2

Rate of Return (%) 52.5

► KEY VALUATIONS

P/E	104.52
EV/EBITDA	56
OPM (%)	16.4
PEG	1.64

► STOCK PRICE



What Marvell Does: The Connectivity Layer of AI Infrastructure

Marvell Technology (NASDAQ: MRVL) is a fabless semiconductor company specializing in data infrastructure solutions — custom ASICs, optical interconnects, Ethernet switching, and storage controllers. Unlike GPU makers that handle raw compute, Marvell sits one layer below: it builds the chips that move data between processors, across racks, and throughout the data center at scale. As AI clusters grow larger and more distributed, that connectivity layer becomes as critical as compute itself. 76% of Marvell's revenue now comes from the data center, with custom silicon and optical DSPs driving the bulk of its growth.

Core Business: Custom Silicon & Optical Interconnect

Custom silicon is where MRVL designs hyperscaler-specific chips that customers want but can't build alone. MRVL is the design partner behind Amazon Trainium and Microsoft Azure Maia, with 20+ new design wins already secured ahead of FY28–29 production ramp — revenue visibility is largely locked in. Custom silicon alone is guided to exceed \$10B in FY28.

Optical interconnect is the structural play on the copper-to-optics transition. As data speeds surpass 1.6Tbps, copper wiring hits physical limits, making Co-Packaged Optics (CPO) inevitable. MRVL holds the #1 position in 800G/1.6T optical DSP. Optical interconnect revenue is guided to grow 70%+ YoY in FY27, with DCI modules targeting a \$1B annual run-rate by FY28.

Conviction Report.

Portfolio Composition and Investment Rationale - Equity

Marvell Technology (MRVL)

A data infrastructure semiconductor company powering the connectivity backbone of AI

Current Price (\$)	301.65
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Average Price (\$)	190.69
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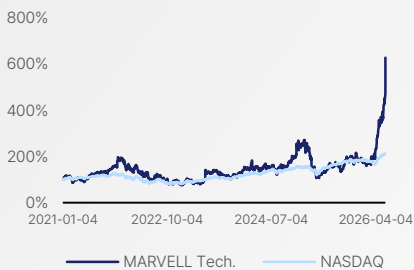
Portfolio Weight (%)	8.2
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Rate of Return (%)	52.5
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► KEY VALUATIONS

P/E	104.52
EV/EBITDA	56
OPM (%)	16.4
PEG	1.64

► STOCK PRICE



Key Catalyst – Jensen Huang: The Next Trillion-Dollar Company

On June 2 at Computex in Taipei, NVIDIA CEO Jensen Huang joined Marvell CEO Matt Murphy onstage and declared: *"The next trillion-dollar company, ladies and gentlemen."* His rationale: when computing problems are disaggregated and distributed across an entire data center, connectivity becomes the essential layer — and that is precisely what Marvell provides.

MRVL surged +32.52% on the day, its largest single-day gain ever, and extended another +11% on 6/3, closing at **\$301.65**. Current market cap sits at ~\$260B, implying roughly 3.8x upside to reach \$1 trillion — a trajectory structurally similar to what NVIDIA demonstrated between 2022 and 2025. Stifel raised its price target to a Street-high \$321 following the Computex event.

Risks

IT sector concentration in the portfolio has risen to 51.7% against a 34% target — rebalancing toward diversification remains a priority. Hyperscaler in-house ASIC development is a structural long-term risk, though the secured design win pipeline makes near-term impact unlikely. The most immediate risk is euphoria-driven valuation: a combined +47% over two sessions has pushed P/E expansion well ahead of fundamentals. The stock's history of sharp post-earnings drops is also worth monitoring. Expect elevated volatility and manage position sizing accordingly.

Conviction Report.

Portfolio Composition and Investment Rationale - Equity

SAMSUNG (KRX: 005930)

Semiconductors (Memory, HBM) / Smartphones / Displays / Home Appliances, Global Integrated Technology Player

Current Price (₩ 362,500

Average Price (₩ 244,400

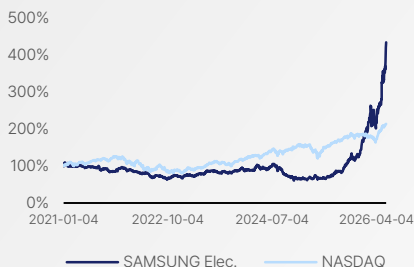
Portfolio Weight (%) 11.1

Rate of Return (%) 49.3

► KEY VALUATIONS

P/E	8.36
EV/EBITDA	14.06
OPM (%)	42.75
PEG	0.20

► STOCK PRICE



At the Top of the AI Memory Demand Chain

Samsung is the global leader in both DRAM and NAND, with the DS division's memory business generating the bulk of total operating profit. Decades of accumulated process technology and a vertically integrated production system form its core competitive advantage, complemented by stable cash flow from the MX/NW division's Galaxy S lineup and margin defense in DX through AI-integrated premium products.

Why We Entered: An Earnings-Verified Thesis

The position rested not on generic AI optimism but on a sequential verification process. After confirming AI CapEx expansion across all four hyperscalers (META, MSFT, GOOGL, AMZN), the team validated demand-to-earnings transmission through SNDK's results — datacenter revenue +233% QoQ, EPS beating consensus by 89%. With the linkage confirmed, Samsung was entered on 5/5 alongside MU and SNDK. 1Q26 results validated the call decisively: revenue of ₩133.9T and operating profit of ₩57.2T (YoY +756%) marked the first time a Korean company surpassed both ₩100T revenue and ₩50T profit in a single quarter, with DS margins of 42.8% reflecting a supply-constrained market.

HBM4 Leadership: From Challenger to Frontrunner

Through 2025, Samsung was the challenger — HBM3E delays let SK Hynix capture ~62% of the HBM market while Samsung was shut out of the cycle's highest-value layer. That shifted in February 2026, when Samsung became the first company in the world to begin HBM4 mass production. Built on a 1c process with a 4nm logic die, HBM4 delivers 16Gbps bandwidth and 4.0TB/s throughput, with 1Q26 capacity fully sold out.

SAMSUNG (KRX: 005930)

Semiconductors (Memory, HBM) / Smartphones / Displays / Home Appliances, Global Integrated Technology Player

Roadmap & Customer Diversification

Samsung has guided HBM revenue to more than triple YoY, with HBM4 exceeding 50% of HBM revenue from 3Q26, and HBM4E (16Gbps/pin, 16Hi stacking) sampling begins in 2H26. Critically, while SK Hynix remains concentrated on NVIDIA, Samsung has secured an independent order base through AMD — with Broadcom and Google collaborations further broadening a customer portfolio the market has yet to fully price in.

Undervaluation Validated by Earnings and Room for Re-rating

Samsung trades at a forward P/E of ~8.36x, a steep discount to global semiconductor peers despite quarterly operating profit (₩57.2T) that exceeds SK Hynix in absolute terms. The discount is largely a residue of the HBM3E delay era, which the team expects to narrow as NVIDIA HBM4 certification completes and HBM4E momentum builds; sell-side consensus projects 2026 operating profit at ₩148T with price targets of ₩210,000+.

Key risks are time-bound rather than structural: NVIDIA qualification timing (~70% of Rubin volume still allocated to SK Hynix), potential labor disputes stemming from intra-DS compensation gaps, and revocable rare earth export relief from China — leaving the long-term investment thesis intact.

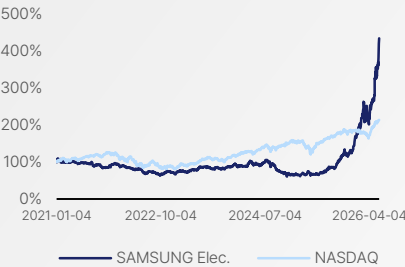
Conviction Report.

Current Price (₩	362,500
Average Price (₩	244,400
Portfolio Weight (%)	11.1
Rate of Return (%)	49.3

► KEY VALUATIONS

P/E	8.36
EV/EBITDA	14.06
OPM (%)	42.75
PEG	0.20

► STOCK PRICE



Conviction Report.

Eli Lilly (LLY)

A global biopharma leader redefining the treatment of metabolic disease

Current Price (\$) 1078.78

Average Price (\$) 963.33

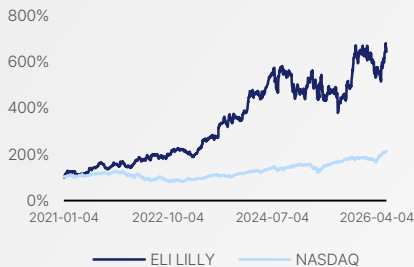
Portfolio Weight (%) 10.3

Rate of Return (%) 11.98

► KEY VALUATIONS

P/E	37.80
EV/EBITDA	27.25
OPM (%)	49.39
PEG	1.43

► STOCK PRICE



The Defining Beneficiary of the Metabolic Disease Era

The WHO's formal classification of obesity as a chronic disease and its links to type 2 diabetes, cardiovascular disease, and sleep apnea have established metabolic health as one of the most structurally compelling treatment categories in modern medicine. Lilly stands at the center of this shift. Tirzepatide, a dual GIP/GLP-1 receptor agonist, has delivered superior clinical outcomes over Novo Nordisk's GLP-1-only semaglutide, with trials demonstrating up to 20 to 22% body weight reduction. Commercialized as Mounjaro for type 2 diabetes and Zepbound for obesity, the dual-brand strategy captures both indications simultaneously. In Q1 2026, U.S. Zepbound sales reached \$4.16B, up 80% year over year, while Mounjaro more than doubled, and international revenue surged 81% to \$7.7B with Lilly holding above 53% market share as launches in Europe, China, and Brazil hit full stride. The SURPASS-CVOT trial further validated tirzepatide's cardiovascular protective effects, cementing its position as a platform therapy for the full spectrum of metabolic disease.

Unlocking Access – The Shift from Injectable to Oral

Fewer than one in ten eligible patients are currently on GLP-1 therapy. Needle aversion, cold-chain infrastructure gaps, and complex injection regimens have kept a vast patient pool outside the market, and Lilly's oral GLP-1 program was a direct response to this bottleneck. On April 1, 2026, the FDA approved orforglipron as Foundayo, the only GLP-1 pill for weight loss that can be taken without food or water restrictions.

Conviction Report.

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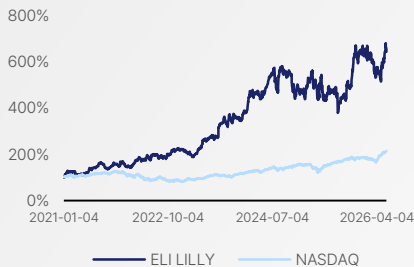
Portfolio Weight (%) 10.3

Rate of Return (%) 11.98

► KEY VALUATIONS

P/E	37.80
EV/EBITDA	27.25
OPM (%)	49.39
PEG	1.43

► STOCK PRICE



Its efficacy of approximately 12 to 15% weight loss trails Zepbound, but Foundayo is designed to expand the addressable market by targeting patients who would never have initiated injectable therapy.

Lilly launched immediately via LillyDirect at \$149 per month for self-pay patients, with Medicare Part D access at \$50 per month from July 2026, and regulatory submissions have been filed in over 40 countries. With Q2 2026 marking Foundayo's first full quarter of reported sales, its revenue contribution remains largely unpriced by the market.

Pipeline Depth and the Case for Sustained Momentum

At approximately 29x forward P/E, Lilly trades at a premium to large-cap pharma peers, though three factors justify its durability. First, fundamentals continue to outpace expectations: Q1 2026 revenue of \$19.8B beat consensus by 12%, Non-GAAP EPS of \$8.55 exceeded estimates by 29%, and full-year guidance was raised to \$82–85B. Second, the pipeline meaningfully reduces single-asset risk. Retatrutide, a triple-acting GIP/GLP-1/glucagon agonist showing up to 29% weight reduction in Phase 3, positions Lilly for continued leadership within its own obesity franchise. Kisunla for Alzheimer's disease and Jaypirca for hematologic malignancies provide non-GLP-1 growth vectors, and Q1 2026 alone saw five positive Phase 3 readouts, six new Phase 3 initiations, and four acquisitions. Third, on a growth-adjusted basis, the valuation is reasonable. The PEG ratio stands at 1.21 to 1.33x, and Wall Street consensus is Strong Buy, with a 12-month average price target of \$1,211, implying approximately 13% upside from the current price of \$1,070.

Conviction Report.

Cisco Systems (CSCO)

Advanced networking solutions and AI networking infrastructure

FY3Q26 – Cisco Systems Summary

Cisco is positioned at the convergence of hyperscaler AI infrastructure buildout and enterprise campus networking refresh — a dual demand structure no comparable networking vendor currently holds. FY3Q26 AI infrastructure bookings came in at \$2.1 billion, more than tripling year over year, pushing cumulative FY26 bookings to \$5.3 billion and prompting management to raise full-year order guidance from \$5.0 billion to \$9.0 billion and revenue guidance from \$3.0 billion to \$4.0 billion in a single revision.

The quarter's first Scale-Across design win on Silicon One P200 and Acacia's optical bookings crossing \$1 billion for the first time signal that AI infrastructure demand is deepening into higher-value network layers. On the enterprise side, campus networking bookings grew 25% year over year and data center switching over 40%, driven by mandatory AI traffic upgrades rather than discretionary refresh.

Investment Thesis

The investment thesis rests on a consensus gap, not cheap valuation. At 24.5x forward earnings — in line with infrastructure networking peers Arista, Broadcom, and Juniper — the stock is not inexpensive, having reached an all-time high post-earnings, up 33% year to date with a 15% single-session move.

The case is that sell-side estimates remain too low: FY26 consensus trails management guidance by roughly \$1.2 billion, and the FY27 gap is wider still. If Scale-Across revenue begins flowing through in FY27, AI-related revenue could reach \$8–9 billion, implying total revenue of \$70–71 billion — 7–10% above current consensus. Non-GAAP gross margin held at 66.0% despite simultaneous headwinds from memory cost inflation, adverse product mix, and Splunk's cloud transition drag, a meaningful signal of pricing power.

Current Price (\$)	126.50
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Average Price (\$)	115.53
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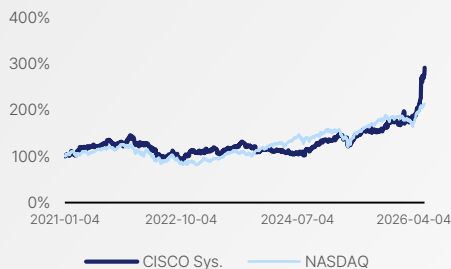
Portfolio Weight (%)	9.9
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Rate of Return (%)	9.50
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► KEY VALUATIONS

P/E	43.33
EV/EBITDA	28.72
OPM (%)	24.99
PEG	1.72

► STOCK PRICE



Conviction Report.

Cisco Systems (CSCO)

Advanced networking solutions and AI networking infrastructure

Current Price (\$)	126.50
Average Price (\$)	115.53
Portfolio Weight (%)	9.9
Rate of Return (%)	9.50

Key Risks

Three risks warrant explicit tracking.

First, Q4 requires roughly \$3.7 billion in bookings alone to hit full-year guidance — nearly double Q3's run rate — implying lumpy deal concentration and timing risk.

Second, the higher-for-longer rate environment creates a structural headwind to multiple expansion, making this an earnings-growth story rather than a re-rating story.

Third, Cisco remains a credible challenger in AI backend networking, not the incumbent: Nvidia and Arista lead the space, and Broadcom supplies the dominant merchant silicon.



Conviction Report.

Portfolio Composition and Investment Rationale - Equity

Kinder Morgan (KMI)

Natural Gas Midstream / Pipelines / Storage / Terminals, Largest U.S. Gas Pipeline Operator

Current Price (\$) \$31.43

Average Price (\$) \$32.34

Portfolio Weight (%) 4.3

Rate of Return (%) -2.8

► KEY VALUATIONS

P/E	22.52
EV/EBITDA	13.4
OPM (%)	28.6
PEG	3.68

► STOCK PRICE



At the Center of AI-Driven Natural Gas Demand

Kinder Morgan is the largest U.S. natural gas pipeline operator, moving roughly 40% of the nation's gas across about 66,000 miles of pipeline and holding over 700 Bcf of storage (~15% of national capacity). The thesis rests not on generic AI optimism but on a structural demand chain: AI data centers need 24/7 firm power that renewables alone cannot supply, and natural gas is the core fuel.

The team's updated Market View calls for an earnings-driven, selective market — with QT ongoing and long-term rates entrenched (10Y ~4.5%), capital rotates toward real cash flow and low leverage, which fits KMI precisely. Per S&P Global, utilities plan 153 GW of new gas-fired generation for data centers, double a year ago, while KMI sees U.S. gas demand reaching ~150 Bcf/d by 2031 (+27% vs. 2025).

KMI is already in talks for over 10 Bcf/d of power-generation and 3 Bcf/d of LNG demand, with ~70% of data-center power demand under development in states it serves. The fuel layer that physically powers the data center is the overlooked AI trade.

Q1 2026 Beat-and-Raise on a Record Balance Sheet

Q1 2026 was a clear beat-and-raise, led by natural gas (transport volumes +8%, five major pipelines above 90% utilization). Revenue of \$4.83B beat consensus by 4.3%, adjusted EPS of \$0.48 (+41% YoY) by 23%, and adjusted EBITDA of \$2.54B rose 18%. Net debt/EBITDA fell to 3.6x, and in March 2026 Moody's upgraded KMI to Baa1 — BBB+-equivalent at all three agencies, the strongest balance sheet in its history. The \$1.19 dividend (+2%, the 9th straight annual increase) is covered roughly 2x.

Conviction Report.

Portfolio Composition and Investment Rationale - Equity

Kinder Morgan (KMI)

Natural Gas Midstream / Pipelines / Storage / Terminals, Largest U.S. Gas Pipeline Operator

Current Price (\$) \$31.43

Average Price (\$) \$32.34

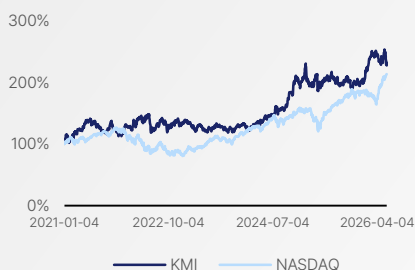
Portfolio Weight (%) 4.3

Rate of Return (%) -2.8

► KEY VALUATIONS

P/E	22.52
EV/EBITDA	13.4
OPM (%)	28.6
PEG	3.68

► STOCK PRICE



Management now expects FY26 EBITDA of \$8.6B or more, beating its original budget by over 3% (~\$250M). The \$10.1B project backlog is 92% natural gas and ~60% power/LDC-related, and the remaining work should earn a ~5.6x first-year EBITDA build multiple — highly accretive versus the ~12x multiple the market currently pays for KMI's EBITDA.

Valuation, Bear Cases, and Recommendation

At about \$31 and ~12x forward EV/EBITDA, KMI trades below growthier peers Williams (~18x) and Enbridge (~14x), in line with ONEOK (~11.5x) and above the cheapest large-cap, Energy Transfer (~7.9x); its ~3.8% yield is lower than peers but better covered, and 3.6x leverage is the group's lowest except ONEOK. Consensus is Buy, with a median target of \$35.0 (range \$26–43), implying ~11–13% upside plus the dividend (Goldman Sachs: top idea for gas-demand growth, Buy).

The main bear cases — rate sensitivity, gas-price and permitting risk, and AI-demand uncertainty — are largely offset by 95% fee-based, take-or-pay contracts with inflation escalators, brownfield backlog on existing rights-of-way, and a conservative 3–6 Bcf/d demand assumption. Recommendation: hold a core position and add on weakness toward the high-\$20s (52-week low \$25.60); trim or exit on dividend coverage below 2.0x or net debt/EBITDA above 4.5x.

Hedging Oriented Assets Report.

Portfolio Composition and Investment Rationale - Hedging Oriented Assets

iShares Short Treasury Bond ETF (SHV)

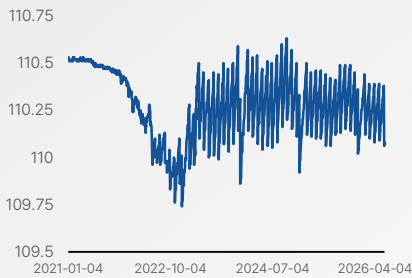
Introduces a line of Hedging Oriented Assets: Preserve capital and reduce portfolio volatility with highly liquid short-term Treasuries

Current Price (\$)	110.12
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Average Price (\$)	110.26
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Rate of Return (%)	-0.13
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STOCK PRICE



Major Holdings

Security Name	Weight
TREASURY BILL	4.95%
	4.49%
	4.42%
	4.30%
	4.23%
	4.10%
	3.74%
	3.54%
	3.34%
	3.30%

Investment Thesis

The decision to hold SHV was not a return-seeking trade — it was a capital preservation call. In March 2026, the outbreak of the U.S.-Iran war sent the VIX surging to 28 and nonfarm payrolls came in at -92,000, while the Strait of Hormuz closure put roughly 20% of global seaborne energy supply at risk. In this environment, the downside risk of holding risk assets clearly outweighed the opportunity cost of staying defensive. With the Fed funds rate near 3.6%, SHV offered money-market-level yield with T+1 settlement and near-zero price volatility — strictly superior to idle cash.

Key Drivers

Throughout Phase 1 (3/6–5/3), SHV constituted over 90% of the portfolio as the primary defensive anchor. While the S&P 500 gained approximately +9.5% during this period, SHV fulfilled its intended role: when the team confirmed the AI CapEx-to-memory earnings transmission via Big Tech guidance and the SNDK earnings beat, the entire position was liquidated on 5/4–5/5 to fund equity entries. The strong outperformance in Phase 2 — driven by MU +71.2%, MRVL +52.5%, and Samsung Electronics +49.3% — was made possible precisely because SHV had preserved the capital base intact. Realized P&L was -\$318, a minimal cost for two months of capital protection.

Outlook

SHV's near-zero duration and 0.15% expense ratio make it the most frictionless risk-off instrument available, with deep daily trading volume enabling large-scale entries and exits without slippage. Its limitations are equally clear: yield declines in lockstep with rate cuts, and long-term purchasing power erodes under sustained inflation. SHV is a tactical instrument, not a strategic allocation — its value is maximized only when paired with disciplined, regime-aware entry and exit decisions. The opportunity cost incurred here was not a failure of the instrument, but a reflection of transition timing; a more gradual re-entry approach would be the natural refinement going forward.

Hedging Oriented Assets Report.

Portfolio Composition and Investment Rationale - Hedging Oriented Assets

United States Copper Index Fund (CPER)

A dual-mandate hedge: structural AI copper demand plus real-asset inflation protection

Current Price (\$)	40.61
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Average Price (\$)	36.23
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Rate of Return (%)	+12.1
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► STOCK PRICE



Two Theses Converge: AI Copper and Inflation

Copper sits at the intersection of two theses GLIF holds with conviction. First, AI data centers are copper-intensive: a dense campus uses about 3x the copper of a conventional one (27-33 tonnes per MW), making it a direct beneficiary of the Big Tech capex that drives our equity book. Second, it is a classic real-asset inflation hedge: with the Fed on hold, services inflation near 3%, an Iran-driven energy shock, and a soft dollar at entry, copper offers protection financial assets cannot.

Direct Copper Exposure, Built to Beat Contango

CPER is the only U.S.-listed ETF giving direct exposure to copper futures, and its structure matters for a hedge of this horizon. Rather than holding the front-month contract, it tracks an index that selects one or three contracts monthly using a rules-based optimization built to capture backwardation and minimize contango drag. This is a meaningful edge over naive front-month funds such as USO, making CPER well suited to the short-to-medium-term directional exposure a hedge sleeve needs. The trade-offs are a ~1.0% expense ratio, a commodity-pool structure that issues a K-1, and the fact that it is not built for a decade-long buy-and-hold.

Up 12.1%; Constructive Targets, Contained Risks

The position is the strongest performer in the hedge sleeve, up 12.1% since early May as copper hit record highs near \$11,500/tonne (~\$5.20/lb) on AI demand, electrification, and a refined-market deficit. Sell-side stays constructive: JPMorgan sees ~\$12,500 in Q2, UBS \$13,000 by year-end. The position now stands at 3.5% of the portfolio. Key risks are Chinese-demand swings, potential 10-15% U.S. copper tariffs, and single-commodity volatility, so the weight is kept modest.

Hedging Oriented Assets Report.

Portfolio Composition and Investment Rationale - Hedging Oriented Assets

United States Oil Fund (USO)

A macro and geopolitical tail hedge against an energy-supply shock

Current Price (\$)	137.26
Average Price (\$)	142.83
Rate of Return (%)	-3.9

► STOCK PRICE



Insurance Against the Hormuz Tail Risk

USO was added not as a conviction long but as protection against the high-variance U.S.-Iran conflict. Disruption to the Strait of Hormuz, which carried ~20% of global seaborne energy before the war, keeps a supply-shock premium in crude, and an energy spike lifts headline inflation. With the market pricing Fed cuts to zero this year and core PCE revised up toward 3%, a long-oil position gains precisely when the rest of the book is pressured by higher-for-longer rates.

Hedge Effectiveness: Real but Partial

Does USO truly hedge this book? In the right regime, yes, but only partially. The oil-equity correlation is regime-dependent: in supply-driven shocks the S&P-to-WTI correlation runs strongly negative (near -0.6 recently). The complication is ours: with ~58% in IT, mega-cap AI and chip names rally on capex regardless of oil. On June 1 crude surged yet the S&P closed higher as Nvidia offset the drag. USO therefore hedges the systemic inflation-and-energy channel that pressures staples, healthcare, and rate-sensitive names, but only weakly the tech sleeve. Sizing scales oil beta times weight against the shock loss; the ~3-5% weight stays small because tech partly self-hedges.

The Roll-Yield Catch and Its Reversal Risk

USO holds WTI futures, not physical barrels, rolling them monthly. In contango (later contracts above the front) the roll sells low and buys high, a negative roll yield that bleeds NAV even when spot is flat: over a decade USO made ~55% while spot WTI doubled. The twist now is that the supply shock has pushed WTI into backwardation, so USO collects a positive roll yield, its usual weakness inverted. The risk is reversal: if Hormuz normalizes, the curve flips to contango and USO takes a double hit. Hence the strict stop-loss and small weight.

Major Rebalancing and Portfolio Changes

01 Late Mar.

3.1. Late Mar: Macro Shock Confluence and Disciplined Cash Preservation

Late March opened a multi-front macro shock. A sharp escalation in US–Iran tensions drove WTI above \$94 and reignited inflation, while an intense information war between the two sides — competing claims, on-off negotiation signals — left the conflict’s path, and the market’s direction, highly unpredictable. With consumer sentiment collapsing and the Nasdaq in correction, the portfolio held full cash — a disciplined risk-management call, not indecision.

Major Rebalancing	
Ticker	Weight Change
SHV	+36.5%p

Event Connection & Rebalancing Implications:

Observation 1. Geopolitical Shock Ignites Stagflation Risk – The Starting Point

- Event: Re-escalation of US–Iran tensions; stalled talks amid an active two-way information war
- Market Impact: WTI +4.60% to \$94.48, Brent to \$101.89; the 10Y Treasury yield spiked to 4.42% as 2026 Fed cuts were priced out. Nasdaq –2.37%, SOX –4.79%.
- Portfolio Implication: The energy-to-rates channel set a structural risk backdrop into April. Entering growth before directional confirmation, amid re-accelerating inflation, meant catching a falling knife.

Observation 2. Consumer Sentiment Collapse — Demand Slowdown Signal

- Event: University of Michigan Consumer Sentiment Index fell sharply to 53.3, down from 64.7 the prior period
- Market Impact: Forward-looking demand indicators deteriorated materially, compounding the stagflation narrative alongside elevated energy prices.
- Portfolio Implication: Weakening consumption plus inflation re-acceleration cut cyclicals' earnings trajectory, reinforcing caution across domestic and international positions.

Observation 3. Korean Equity Market — Fundamental Entry Criteria Not Met

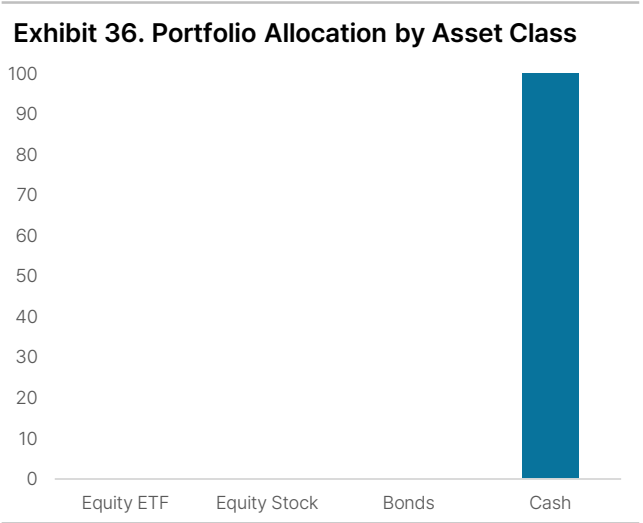
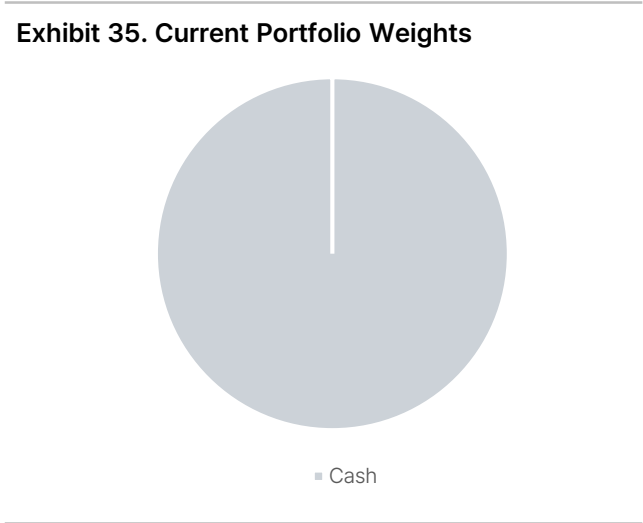
- Event: KOSPI equal-weighted returns turned broadly negative; Samsung Electronics and SK Hynix showed short-term bounces amid structural uncertainty
- Market Impact: HBM4 transition timing stayed unclear amid export-demand concerns; the index-wide drawdown reflected broad-based selling, not idiosyncratic weakness.
- Portfolio Implication: Neither Samsung nor SK Hynix met the fundamental or technical entry threshold — a stance validated by the broad KOSPI drawdown.



Current Portfolio Status

Asset Class	Portfolio Weight	Benchmark (Nasdaq)
Equities	0%	100%
Fixed Income	0%	0%
Dollar (Cash)	100%	0%

Charts:



Final Recommendation

Current Context	Multi-front macro shock – geopolitical-driven oil spike, rate repricing, and consumer sentiment collapse – established the structural risk framework carried into April.
Recommendation	Maintain full cash. Entry triggers: WTI below \$85, 10-year yield returning toward 4.2%. Watch list: XLE, SHV/BIL, Samsung Electronics on HBM4 confirmation.
Rationale / Expected Outcome	Capital preservation through a deteriorating macro environment protects drawdown and secures re-entry optionality at lower cost.



Major Rebalancing and Portfolio Changes

02 Early April.

3.2. Early April: Risk Management Amid Ceasefire Uncertainty and AI Overcrowding

This period held a disciplined risk-off stance despite a rebound after a temporary US–Iran ceasefire. The agreement was time-limited and uncertain, leaving tail risks unresolved. Meanwhile, leadership concentrated heavily in AI — particularly semiconductors and optical networking (photonics) — raising overcrowding, momentum-driven action, and stretched short-term valuations in the leaders. The portfolio therefore refrained from risk-on positioning, prioritizing capital preservation ahead of earnings confirmation.

Event Connection & Rebalancing Implications:

Observation 1. Temporary Ceasefire, Structural Risk Persistence

- Event: US–Iran 2-week temporary ceasefire agreement
- Market Impact: Sharp rebound in risk assets as geopolitical risk premium compressed
- Portfolio Implication: Treated rally as liquidity-driven repricing rather than structural resolution; avoided aggressive risk-on repositioning

Observation 2. Narrow AI Leadership & Crowded Momentum Trade

- Event: Continued strength in AI-driven sectors (semiconductors, optical networking)
- Market Impact: Leadership narrowed to a few mega-cap chip and photonics names; breadth weakened
- Portfolio Implication: Declined to chase the crowded, momentum-driven leadership; stayed fully in cash, preserving optionality ahead of earnings.

Observation 3. Pre-Earnings Validation Gap in AI CapEx Cycle

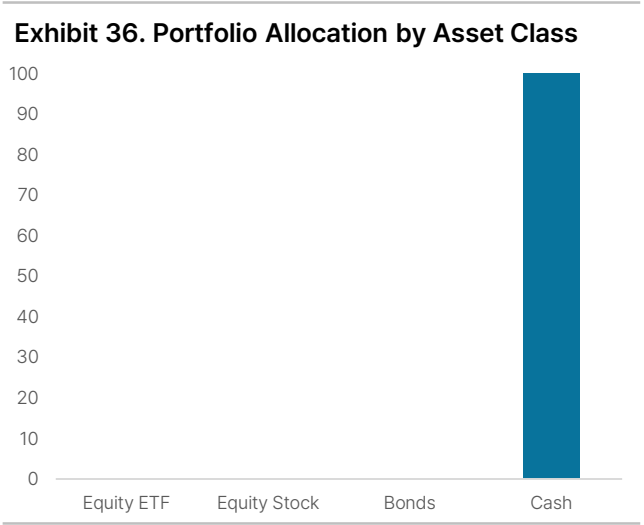
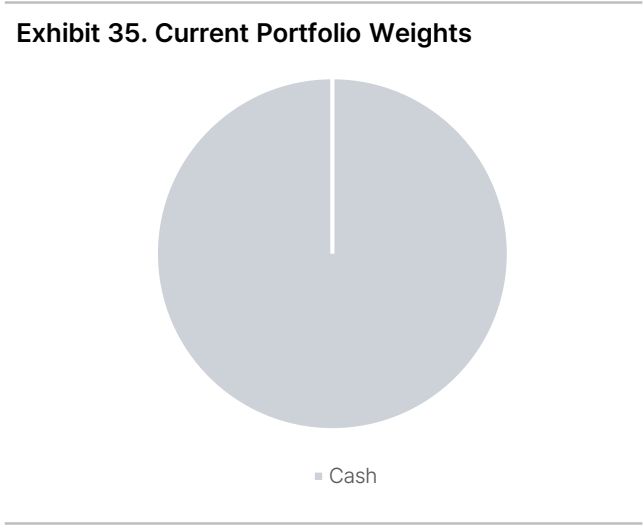
- Event: Pre-Q earnings environment with limited confirmation of demand translation
- Market Impact: Expectations for AI infrastructure spending outpacing observable earnings contribution
- Portfolio Implication: Maintained wait-and-see posture until earnings season validated AI-to-earnings transmission mechanism



Current Portfolio Status

Asset Class	Portfolio Weight	Benchmark (Nasdaq)
Equities	0%	100%
Fixed Income	0%	0%
Dollar (Cash)	100%	0%

Charts:



Final Recommendation

Current Context	Markets shifted from inflation concerns to growth slowdown fears amid rising oil prices from the Iran conflict. Although a temporary 2-week US–Iran ceasefire eased tensions, uncertainty over extension remained high. At the same time, gains were highly concentrated in a few sectors, raising concerns over overcrowded positioning.
Recommendation	We stayed 100% in cash, maintaining a disciplined risk-off stance and avoiding new equity exposure.
Rationale / Expected Outcome	Uncertain geopolitics and narrow market leadership reduced risk-reward, supporting capital preservation and optionality until clearer signals emerge.



Major Rebalancing and Portfolio Changes

03 Mid April.

3.3. Mid April: Ceasefire Fragility, Crowded AI Rally, and Rate Cut Erasure

Mid-April equities rallied sharply after the April 7 US–Iran ceasefire, with the S&P 500 and Nasdaq rising seven straight sessions as oil fell. But the ceasefire quickly proved fragile — naval incidents in the Strait of Hormuz, strikes in Lebanon, stalled talks.

The rally grew dangerously narrow, concentrated in semiconductors and optical-networking (photonics) names, pushing the leaders' short-term valuations to extremes. The portfolio stayed 100% in cash, treating the move as liquidity-driven rather than structural.

Event Connection & Rebalancing Implications:

Observation 1. Ceasefire Rally Built on Sand — Structural Risk Unresolved

- Event: Iran seized container ships Apr 22 despite ceasefire extension
- Market Impact: Brent dipped below \$95 on ceasefire news but rebounded above \$100 within days as the Hormuz blockade held and tanker traffic stayed disrupted.
- Portfolio Implication: Treated rally as liquidity-driven repricing rather than structural resolution; avoided aggressive risk-on repositioning

Observation 2. AI-Led Rally Becomes Dangerously Narrow

- Event: Ceasefire sentiment re-ignited AI speculation; Nvidia, AMD, Micron surged 4–10% in one session, with tech ~9 of the top 10 S&P 500 gainers.
- Market Impact: Nasdaq hit new all-time intraday highs; market leadership became extreme and concentrated.
- Portfolio Implication: Avoided the crowded, overheated AI trade in chips and photonics; judged the leaders' valuations stretched and reversal-prone

Observation 3. Fed Rate Cut Path Effectively Closed — Inflation Risk Structural

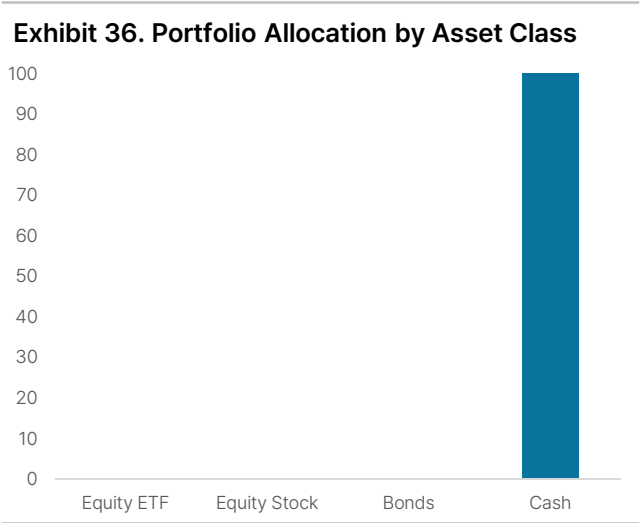
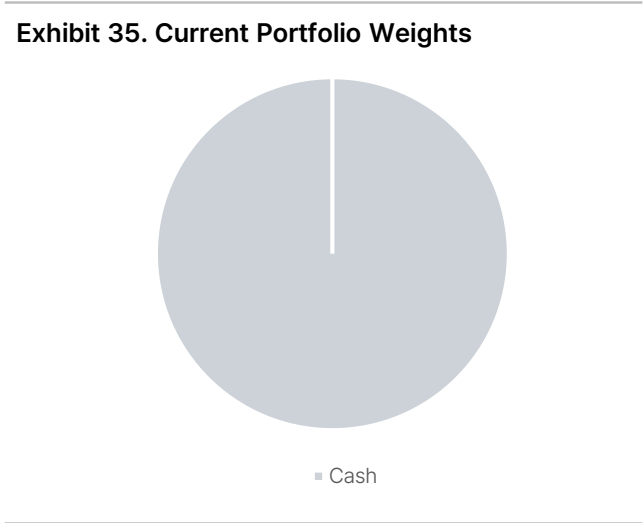
- Event: Fed held rates at 3.50–3.75%; FOMC minutes noted growing faction considering rate hikes
- Market Impact: 10Y yield eased from 4.5% toward 4.25% mid-month on disinflation hopes.
- Portfolio Implication: High-duration tech stays sensitive to rate uncertainty; fading cut hopes, with possible hikes, keep valuation support fragile.



Current Portfolio Status

Asset Class	Portfolio Weight	Benchmark (Nasdaq)
Equities	0%	100%
Fixed Income	0%	0%
Dollar (Cash)	100%	0%

Charts:



Final Recommendation

Current Context	Markets rebounded on ceasefire optimism and lower oil prices, but geopolitical risks remained unresolved. Meanwhile, leadership narrowed significantly to AI-related stocks, while fading rate-cut expectations increased valuation sensitivity.
Recommendation	Remain fully in cash and refrain from adding new equity exposure.
Rationale / Expected Outcome	Fragile geopolitical conditions, concentrated market leadership, and reduced monetary policy support limited upside potential and increased downside risk, supporting a defensive stance and capital preservation.



Major Rebalancing and Portfolio Changes

04 Late April.

3.4. Late April: Capital Preservation Validated: Oil Surge, Fed Hold, Valuation Risk Rises

Late April marked a macro shift that, in hindsight, validated staying fully in cash despite the S&P 500's record 7,209.

Beneath the rally, conditions worsened: Brent surged to \$126.41 amid escalating Iran tensions, the Fed held at 3.50–3.75% with no 2026 cuts priced, and inflation reaccelerated (ISM prices 84.6). Despite strong Q1 earnings, the disconnect between record highs and deteriorating fundamentals reinforced avoiding a late-cycle, momentum-driven rally.

Event Connection & Rebalancing Implications:

Observation 1. Oil Resurges to Crisis High — Inflation Regime Entrenched

- Event: Brent crude surged to \$126.41, a new 2026 high, as the US extended its naval blockade and the Strait of Hormuz stayed effectively closed.
- Market Impact: Markets continued to price an eventual normalization in energy prices despite limited evidence of improving supply conditions.
- Portfolio Implication: Persistent energy-driven inflation cut the odds of Fed easing and raised equity-repricing risk, supporting a fully defensive cash stance.

Observation 2. Fed Locks in No-Cut Regime — Rate Hike Risk Emerges

- Event: The Fed held rates at 3.50–3.75%. Markets priced virtually no rate cuts in 2026, while the probability of future hikes increased.
- Market Impact: Treasury yields moved higher as bond markets adjusted to a prolonged restrictive policy environment, diverging from equity market optimism.
- Portfolio Implication: A higher-for-longer rate outlook and a potentially more hawkish Fed raised valuation risk, with equities near 20.9x forward earnings.

Observation 3. Earnings Strength Masks Valuation and AI CapEx Risks

- Event: Q1 earnings growth reached 15.1%, major technology firms exceeded expectations, and the S&P 500 reached a new all-time high.
- Market Impact: concerns grew that accelerating AI investment could outpace near-term revenue
- Portfolio Implication: Strong earnings lifted sentiment but didn't resolve valuation risk. With equities at record highs, rates elevated, and oil near crisis levels, cash stayed preferred.

Major Rebalancing and Portfolio Changes

Late April.

Current Portfolio Status

Asset Class	Portfolio Weight	Benchmark (Nasdaq)
Equities	0%	100%
Fixed Income	0%	0%
Dollar (Cash)	100%	0%

Charts:

Exhibit 35. Current Portfolio Weights

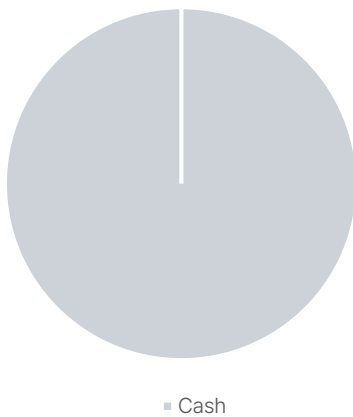
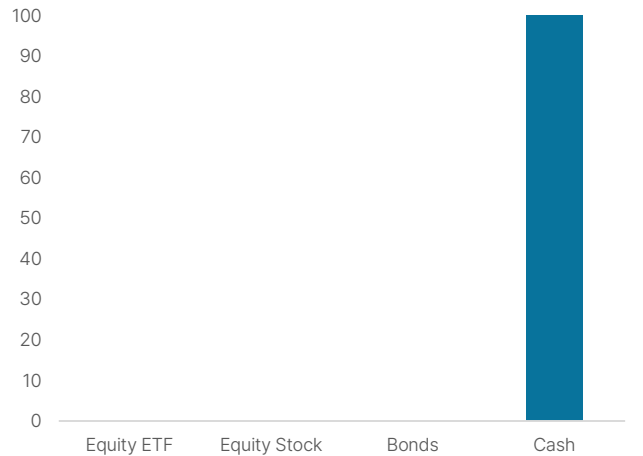


Exhibit 36. Portfolio Allocation by Asset Class



Final Recommendation

Current Context

Markets reached new record highs on strong earnings and continued AI enthusiasm. However, oil prices surged to crisis levels, inflation pressures reaccelerated, and markets largely abandoned expectations for Fed rate cuts, creating a growing disconnect between equity performance and macro fundamentals.

Recommendation

We maintained a 100% cash position and avoided increasing equity exposure despite continued market strength.

Rationale / Expected Outcome

Higher energy prices, a prolonged restrictive rate environment, and increasingly demanding valuations reduced the attractiveness of risk assets. Preserving capital and flexibility remained preferable to chasing a momentum-driven rally with limited margin of safety.

Major Rebalancing and Portfolio Changes

05 Early May.

Major Rebalancing	
Ticker	Weight Change
SHV	-36.5%p
LLY	10.0%p
005930.KS	9.6%p
CRS	7.2%p
MU	6.7%p
SNDK	6.6%p
034020.KS	6.6%p
KMI	4.8%p
CPER	3.4%p
USO	3.3%p

3.5 Early May: Regime-Confirmed Redeployment from Cash

The window opened in the mandate's most defensive configuration — over 90% in cash and SHV after the 2025 tariff shock and the Iran war, with VIX near 28, payrolls -92k, and a Hormuz oil spike reviving inflation fears. Redeployment was a regime call, not market timing: the Market View held that the market had turned from liquidity-driven to earnings-driven and selective. Only after late-April/early-May earnings confirmed the thesis — CapEx guidance held or rose and SNDK printed revenue +27%, EPS +89% — did the team liquidate SHV (\$190,172) and deploy into four conviction theses.

Event Connection & Rebalancing Implications:

Observation 1. AI Memory/Storage, Earnings-Confirmed

- Event: SNDK revenue +27%, EPS +89%; CapEx guides held/up
- Market Impact: AI-CapEx reaching memory earnings
- Portfolio Implication: Anchored MU, SNDK, 005930.KS — memory trio ~44% of the book

Observation 2. Earnings Growers & Physical-AI Names

- Event: LLY beat; 034020.KS ₩24.1T backlog; CRS 35.6% SAO margin
- Market Impact: Repeatable, macro-independent beats
- Portfolio Implication: Added LLY, 034020.KS, and CRS as conviction growers

Observation 3. AI-Infra Commodities & Energy Hedge

- Event: AI spend extends into physical infrastructure
- Market Impact: Gas, copper, oil gain AI/geo demand
- Portfolio Implication: Added KMI, CPER, USO; flagged ~44% IT concentration

Major Rebalancing and Portfolio Changes

Early May

Current Portfolio Status

Asset Class	Portfolio Weight	Benchmark (Nasdaq)
Equities	62%	100%
Fixed Income	0%	0%
Dollar (Cash)	38%	0%

Charts:

Exhibit 42. Post-Rebalancing Portfolio Weights

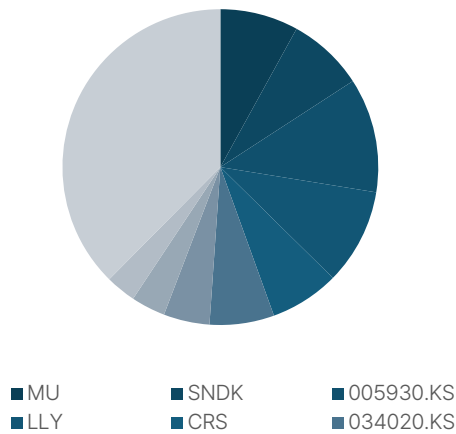
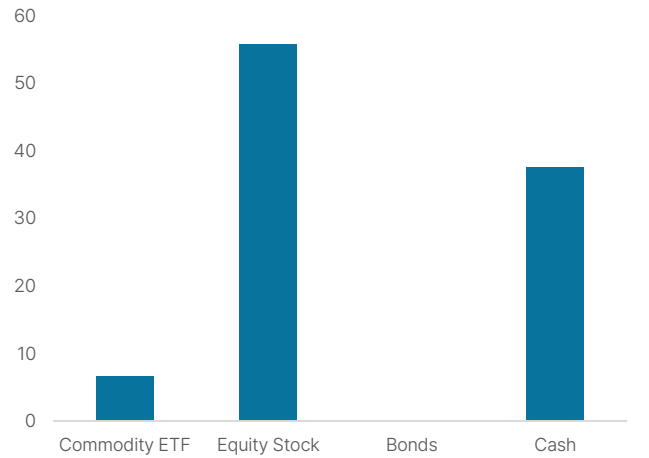


Exhibit 43. Portfolio Allocation by Group & Sector



Final Recommendation

Current Context

After the tariff shock and Iran war, the book sat >90% in cash and SHV (VIX ~28, payrolls -92k, Hormuz oil spike). The Market View judged the regime had turned from liquidity-driven to earnings-driven, and late-April/early-May prints confirmed AI-CapEx was reaching company earnings.

Recommendation

Fully liquidate SHV (\$190,172) and redeploy into four conviction theses: AI memory/storage (MU, SNDK, 005930.KS), an earnings grower (LLY), Physical-AI & aerospace (034020.KS, CRS), and AI-infrastructure commodities plus an energy hedge (KMI, CPER, USO).

Rationale / Expected Outcome

Concentrate capital in names with demonstrated real cash flow as liquidity-driven positioning fades. Principal risk is the ~44% memory-trio concentration and a USO loss under stop-loss from inception, both flagged for active management.

Major Rebalancing and Portfolio Changes

06 Mid May.

Major Rebalancing	
Ticker	Weight Change
005930.KS	-1.9%p
MU	-1.9%p
SNDK	-1.8%p
CSCO	9.7%p

3.6 Mid May: Harvesting Correlated Winners, Adding Quality

By mid-month the memory thesis had worked fast: 005930.KS, MU, and SNDK all rose sharply and their combined weight reached ~44%. Though they sit in different index sectors, all three track one driver — the AI memory/storage cycle — so they behave as a highly correlated cluster, and a single-narrative drawdown would hit them together. The window's priority was to harvest gains and cut single-theme correlation without abandoning the thesis. A Cisco earnings beat simultaneously opened a lower-beta IT entry better suited to a QT, higher-for-longer regime.

Event Connection & Rebalancing Implications:

Observation 1. Correlated Memory Cluster ~44%

- Event: 005930.KS, MU, SNDK rose to ~44% combined
- Market Impact: One driver — the AI memory cycle
- Portfolio Implication: Trimmed all three (\$28,669) off the peak

Observation 2. Cisco: Lower-Beta, Cash-Rich AI

- Event: CSCO rev \$15.8B; AI orders \$5B→\$9B; P/E ~23x
- Market Impact: Durable AI-CapEx, defensible model
- Portfolio Implication: Initiated CSCO at a ~10% target

Observation 3. Concentration Still Above Target

- Event: IT 46.7% vs a 34% target after the trim
- Market Impact: One window can't normalize concentration
- Portfolio Implication: Committed to more cuts + entry-P/E disclosure

Major Rebalancing and Portfolio Changes

Mid May

Current Portfolio Status

Asset Class	Portfolio Weight	Benchmark (Nasdaq)
Equities	66%	100%
Fixed Income	0%	0%
Dollar (Cash)	34%	0%

Charts:

Exhibit 44. Post-Rebalancing Portfolio Weights

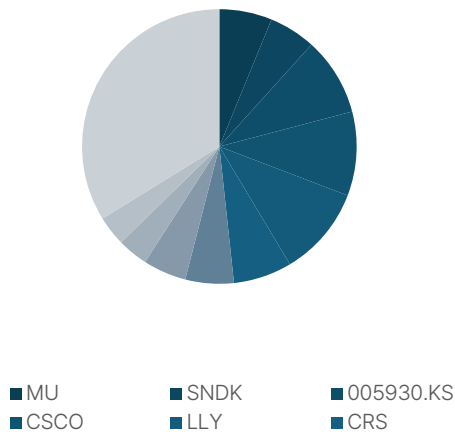
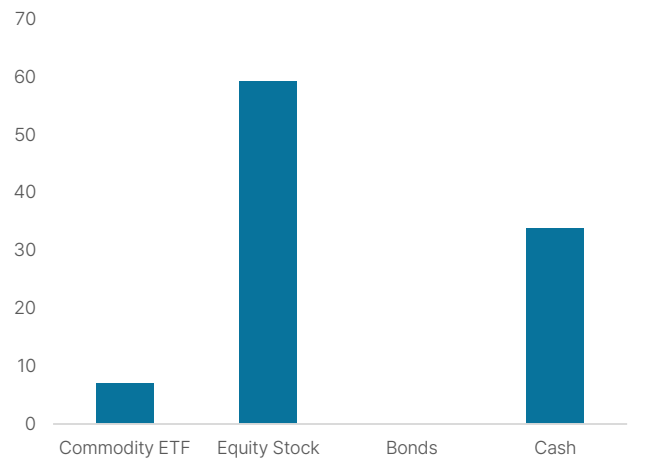


Exhibit 45. Portfolio Allocation by Group & Sector



Final Recommendation

Current Context

The memory thesis worked fast — 005930.KS, MU, and SNDK reached ~44% combined. They track a single driver (the AI memory cycle) and behave as a correlated cluster, so the priority was to harvest gains and cut single-theme risk. A Cisco beat opened a lower-beta IT entry.

Recommendation

Trim MU, SNDK, and 005930.KS (\$28,669 combined) to cut the cluster from its peak, and initiate CSCO at a ~10% target (record revenue \$15.8B, AI order guide \$5B→\$9B, entry P/E ~23x, 54% subscription revenue).

Rationale / Expected Outcome

Reduce correlated-winner risk while keeping the AI-memory thesis, and add a cash-generative IT anchor. IT remained 46.7% vs a 34% target, so the team committed to further concentration cuts and to disclosing entry P/E going forward.

Major Rebalancing and Portfolio Changes

07 Late May.

Major Rebalancing	
Ticker	Weight Change
CRS	-6.8%p
034020.KS	-5.3%p
MU	-3.1%p
COST	9.5%p
MRVL	5.7%p

3.7 Late May: Systematic Stop-Loss Rotation and Risk Control

The final window was defined by risk control. Middle-East commodity volatility pressured the book's cyclical, and two positions breached pre-defined systematic stop-loss deadlines, forcing liquidation under the rules-based framework. Rather than override the system, the team executed the exits and redeployed — into an AI-networking name and, in staples, an earnings-gated process that favored COST over the originally intended WMT after a weak WMT print. The stop-loss system worked: -\$8,752 of realized losses was largely offset by +\$7,513 of gains, holding net realized P&L to -\$1,242.

Event Connection & Rebalancing Implications:

Observation 1. Stop-Loss Exits: 034020.KS & CRS

- Event: 034020.KS -22.7% DD; CRS -10.7% vs mkt -1.2%
- Market Impact: Commodity vol widened name divergence
- Portfolio Implication: Closed both per rules (-\$6,444; -\$1,782)

Observation 2. Rotation: AI Networking + Staples

- Event: MU REDUCE_HALF; bought MRVL and COST
- Market Impact: AI demand broadening into networking
- Portfolio Implication: Trimmed MU ~4.8%; added MRVL & COST

Observation 3. WMT Rejected; Concentration Rose

- Event: WMT soft guide, negative FCF; stock -7.27%
- Market Impact: COST more resilient to fuel-cost pressure
- Portfolio Implication: Chose COST; IT 51.7%, Top-3 ~46% into June

Major Rebalancing and Portfolio Changes

Late May

Current Portfolio Status

Asset Class	Portfolio Weight	Benchmark (Nasdaq)
Equities	67%	100%
Fixed Income	0%	0%
Dollar (Cash)	33%	0%

Charts:

Exhibit 46. Post-Rebalancing Portfolio Weights

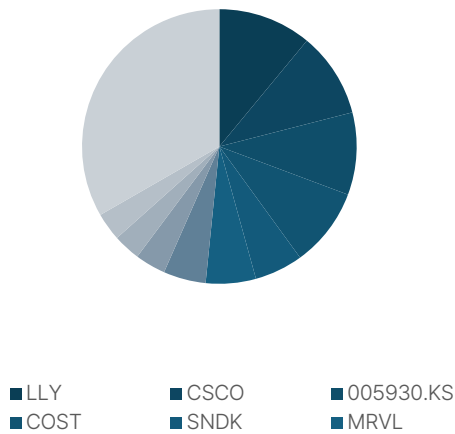
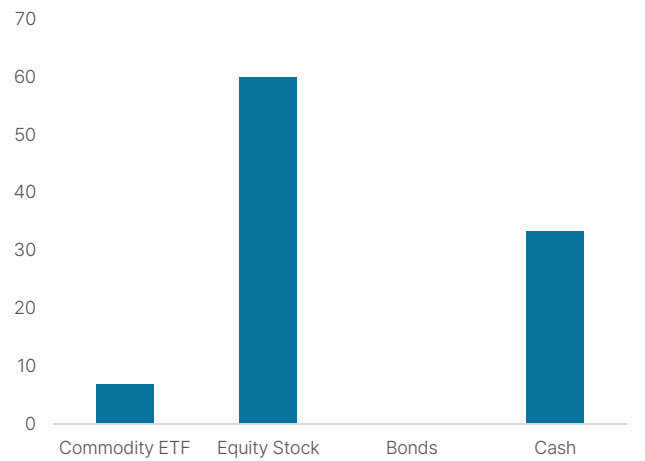


Exhibit 47. Portfolio Allocation by Group & Sector



Final Recommendation

Current Context

A risk-control window. Middle-East commodity volatility pressured cyclical, and 034020.KS and CRS breached systematic stop-loss deadlines, forcing rules-based liquidation. Freed capital was redeployed into AI networking and a staples anchor via an earnings-gated process.

Recommendation

Execute stop-loss exits of 034020.KS (-\$6,444) and CRS (-\$1,782); trim MU to ~4.8% (REDUCE_HALF); buy MRVL (~\$29,938; Citi PT \$215) and COST (~\$49,371). Reject WMT after a weak FQ1 print (-7.27%).

Rationale / Expected Outcome

Rules over discretion: -\$8,752 of losses was largely offset by +\$7,513 of gains (net -\$1,242). The book tilts to AI semis (MRVL) with a defensive COST anchor. Key June risks: IT at 51.7%, Top-3 ~46% concentration, and the Iran-war energy backdrop.

01 Credit and Liquidity

4.1. Possible Scenarios & Risks – Credit and Liquidity

The most critical near-term risk at this juncture is stagflationary pressure stemming from the Iran conflict. With the Strait of Hormuz blockade pushing Brent crude above \$100/bbl, the energy shock is feeding through into broader cost structures. The Fed finds itself in a classic policy trap: tighten and risk recession, ease and risk entrenching inflation. The prospect of any rate cut this year has effectively been taken off the table.

This backdrop is compounded by policy uncertainty under incoming Chair Warsh. With four of twelve FOMC members already dissenting at the April meeting, the tone of the June 16–17 statement — his first as Chair — will serve as the first key inflection point for market expectations around the H2 rate path.

Underlying these dynamics is a deeper structural problem: the chronic supply-demand imbalance in the Treasury market. The One Big Beautiful Budget Act is projected to add up to \$5 trillion in cumulative deficits over the next decade, while foreign and Fed holdings of Treasuries have structurally halved as a share of the market. The ACM term premium has reached its highest level in a decade, signaling that investors now demand meaningfully higher compensation for holding long-duration Treasuries. The Q3 refunding cycle in August–September could serve as a further catalyst, with 10-year yields around 4.5% representing a structural constraint on borrowing costs for both corporates and households.

On the short-end liquidity front, TGA replenishment risk has emerged as a new variable. With the Fed's reverse repo facility effectively drained, any additional issuance to rebuild the TGA balance will transmit directly into lower bank reserves, with no buffer to absorb the shock. Should QT and TGA replenishment proceed simultaneously, reserve levels could fall far enough to replicate the repo market stress seen in September 2019. Looking further out, two blind-spot risks deserve attention, both largely invisible to conventional indicators.



Risk Scenario

01 Credit and Liquidity

The first is the potential crystallization of stress in the private credit market. With global AUM exceeding \$2 trillion, 77% of leveraged loan participants expect an uptick in defaults and restructurings in H2. The core risk lies in the market's OTC structure: even as stress builds, it will not show up in traditional credit metrics in real time, making the eventual repricing sharper and less orderly.

The second is the accelerating delinquency rate in commercial real estate. CRE is currently seeing the fastest deterioration across all loan categories, and the combination of a prolonged high-rate environment and rising office vacancy rates is likely to translate into mounting loan-loss provisioning pressure at regional and community banks in H2. Ultimately, the defining feature of H2 2026 risk is not the sum of individual shocks, but the way three structural forces — the Iran conflict, fiscal deterioration, and shifting liquidity dynamics — are simultaneously and mutually reinforcing, progressively narrowing the Fed's policy degrees of freedom. Resolution hinges on one of two triggers: an early end to the Iran conflict, or a structural recovery in Treasury demand. Until either materializes, the current uneasy equilibrium is likely to hold.

02

Inflation and Employment

Past Cycle	
Bond Massacre	1994
Taper Tantrum	2013

4.2. Possible Scenarios & Risks – Inflation and Employment

April's headline payroll print beat expectations, but the internals tell a different story. Household survey employment fell by 226,000, involuntary part-time workers surged by 445,000, and the labor force has contracted by roughly 1.5 million since November 2025. CPI has accelerated for two consecutive months to 3.8% in April, with PCE at 3.77%. The Fed is in a genuine policy dilemma — neither cuts nor hikes are cleanly justifiable — and the signal Warsh sends at his June 17 press conference will likely set the tone for the second half.

Three scenarios capture the range of outcomes. In the Stagflationary Trap, the Iran conflict persists through Q3, tariff pass-through spreads across services, and federal job cuts ripple into the private sector — U-6 breaks above 9%, CPI runs well above target, and GDP slows to 0–1%, leaving the Fed paralyzed as inflation expectations de-anchor. In Bond Massacre 2.0, core CPI MoM holds at 0.4%+ even after shelter distortions fade, Warsh signals a hike at the September or November FOMC, the 10-year breaks 5%, and the stock-bond correlation turns positive — eliminating Treasuries' diversification value. The base case — Higher for Longer — sees CPI plateau in the 3.5–3.8% range, Warsh hold through September, and markets push the first easing to late Q1 2027.

Across all three, the direction of policy risk is the same: the next move is more likely a hike than a cut. The highest-conviction positioning follows accordingly — asset-sensitive financials as net interest margins expand, inflation-linked equities and energy as structural hedges against persistent above-target inflation, and hyperscalers whose contract-locked revenues and secular AI demand are largely decoupled from the rate environment. Long-duration assets, rate-sensitive small caps, and mortgage-exposed financials are the clearest areas to reduce.

03

Productivity and GDP Growth

4.3. Possible Scenarios & Risks – GDP & Productivity

GDP (%)	3Q24	4Q24	1Q25	2Q25
Q/Q	3.3	1.9	-0.6	3.8
Y/Y	2.8	2.4	2	2.1

The U.S. economy currently rests on a structure in which AI and automation investment is translating into real economic efficiency, allowing firms to defend margins and sustain potential growth despite elevated interest rates and high wages. This equilibrium, however, is susceptible to collapse through two distinct risk pathways.

The first is the structural entrenchment of productivity deceleration. For this productivity-led cost containment regime to hold, productivity growth must consistently outpace wage increases. Q1 2026 data is already sending warning signals: annualized quarterly productivity growth came in at just 0.8% while hourly compensation rose 3.1%, suggesting an early sign of potential inflection rather than a temporary deviation, rising ULC would compress corporate margins, forcing price increases that reignite inflation and further constrain the Fed's room to cut rates — ultimately suppressing AI infrastructure investment and draining the momentum behind productivity improvement.

The second is the crowding out effect of fiscal expansion reaching a critical threshold. The OBBBA locks in up to \$5 trillion in additional fiscal deficits over the next decade, structurally entrenching Treasury oversupply and keeping a firm floor under market interest rates. Should the 10-year yield rise beyond a critical threshold, the burden of capital costs will begin to outweigh the incentive to invest, cutting off the fuel behind productivity gains and arriving at the same destination as the first pathway.

Should both pathways unfold simultaneously, the premise that productivity offsets demand weakness and fiscal pressure breaks down, and a transition from soft landing to hard landing becomes a real possibility — rendering a broad valuation reset across the technology sector unavoidable.

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